



PROVINCE OF BRITISH COLUMBIA



Ministry of Forests

**TREE FARM LICENCE NO 25
NAKA TREE FARM LICENCE
(The "Licence")**

THIS LICENCE, dated May 21, 1999

(Same date as Paragraph 1.01)

BETWEEN:

**THE MINISTER OF FORESTS, on behalf of
HER MAJESTY THE QUEEN IN RIGHT
OF THE PROVINCE OF BRITISH COLUMBIA
(the "Minister")**

AND:

**WESTERN FOREST PRODUCTS LIMITED
1200 - 1140 WEST PENDER STREET
VANCOUVER, BRITISH COLUMBIA
V6E 4G6
(the "Licensee")**

WHEREAS:

- A. Under Section 36 of the *Forest Act*, the minister offered a replacement licence to the Licensee.
- B. The Licensee has accepted the offer.
- C. The Licensee has agreed to manage the Licence Area according to this Licence and the Management Plan in effect under this Licence.

THEREFORE:

Under Section 36 of the *Forest Act*, this Licence replaces Tree Farm Licence No. 25, dated May 21, 1989

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"The Table of Contents and headings in this Licence are included for convenience only and do not form a part of this Licence and in no way define, limit, alter or enlarge the scope or meaning of any provision of this Licence."

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THE PARTIES agree as follows:

1.00 GRANT OF RIGHTS AND TERM

- 1.01 The term of this Licence is 25 years, beginning May 21, 1999.
- 1.02 Subject to this Licence, the Minister grants the Licensee
- (a) the exclusive right during the term of this Licence to harvest from
 - (i) Schedule B Land, and
 - (ii) Schedule A Land subject to a timber licence,timber of the types specified in paragraph 1.03 from the types of terrain specified in paragraph 1.04,
 - (b) the right to manage
 - (i) Schedule B Land, and
 - (ii) Schedule A Land subject to a timber licence,according to this Licence, the management plan in effect under this Licence, and operational plans approved in respect of this Licence, and
 - (c) the right to enter and use
 - (i) Schedule B Land, and
 - (ii) Schedule A Land subject to a timber licence,for the purpose of exercising a right or fulfilling an obligation under this Licence.
- 1.03 The following types of timber are specified for the purposes of paragraph 1.02:
- (a) on Schedule A Land subject to a timber licence, all merchantable timber; and
 - (b) on Schedule B Land, all types of timber other than deciduous types.
- 1.04 The following types of terrain are specified for the purposes of paragraph 1.02:
- (a) on Schedule A Land subject to a timber licence, all terrain containing merchantable timber; and
 - (b) on Schedule B Land, all types of terrain.
- 1.05 Subject to this Licence, the Licensee may also harvest timber from the Licence Area that is not
- (a) of a type specified in paragraph 1.03, or

- (b) from a type of terrain specified in paragraph 1.04.
- 1.06 The Licensee will not harvest timber from the Licence Area except under a cutting permit or road permit, or a free use permit issued to the Licensee and as otherwise authorized under the Acts and regulations referred to in paragraph 9.01.
- 1.07 Subject to paragraph 1.08, the Licensee will not occupy Schedule B Land or Schedule A Land subject to a timber licence, except under and in accordance with a cutting permit, road permit, or special use permit authorizing such use or occupation.
- 1.08 Paragraph 1.07 does not apply to temporary occupation for the purpose of
 - (a) carrying out silviculture,
 - (b) collecting inventory information,
 - (c) doing engineering layouts and surveys,
 - (d) carrying out protection and forest health activities, and
 - (e) fulfilling other obligations of the Licensee under or associated with this Licence.
- 1.09 Each year during the term of this Licence, the Regional Manager or District Manager may dispose of the following volumes of timber of a type specified in paragraph 1.03 from a type of terrain specified in paragraph 1.04, provided the timber is within areas of Schedule B Land agreed under paragraph 1.12 or specified under paragraph 1.13:
 - (a) subject to paragraph 1.17, 48 326 m³ of the allowable annual cut, under non-replaceable timber sale licences; and
 - (b) a volume of timber not exceeding one half of one percent (0.5%) of the portion of the allowable annual cut the Chief Forester determines is attributable to Schedule B Land, under free use permits.
- 1.10 In addition to any timber disposed of under paragraph 1.09, each year during the term of this Licence, the Regional Manager or District Manager may dispose of timber of a type other than that specified in paragraph 1.03 from a type of terrain specified in paragraph 1.04, under timber sale licences issued pursuant to a pulpwood agreement, provided
 - (a) the timber is
 - (i) of the type referred to in Section 40(1)(b) of the *Forest Act*,
 - (ii) within a pulpwood area designated by the Minister, and

- (iii) within areas of Schedule B Land agreed to under paragraph 1.12 or specified under paragraph 1.13, and
 - (b) the volume of timber disposed of does not exceed an amount equal to the portion of the allowable annual cut which the Chief Forester determines is attributable to timber of the type referred to in clause(a)(i), having regard to the factors and information considered by the Chief Forester in his or her most recent determination of the allowable annual cut.
- 1.11 In addition to any timber disposed of under paragraphs 1.09 and 1.10, the Regional Manager or District Manager may dispose of any timber in the Licence Area that is not
- (a) of a type specified in paragraph 1.03,
 - (b) from a type of terrain specified in paragraph 1.04,
- provided the timber is within areas of Schedule B Land agreed to under paragraph 1.12 or specified under paragraph 1.13.
- 1.12 Subject to paragraph 1.13, the District Manager and the Licensee will agree upon areas of Schedule B Land for the purposes of paragraphs 1.09, 1.10, 1.11 and 1.18, having regard to
- (a) the type and quality of timber on the area of Schedule B Land under consideration compared to the Schedule B Land as a whole,
 - (b) the type of terrain on the area of Schedule B Land under consideration compared to the Schedule B Land as a whole,
 - (c) in the case of paragraph 1.10, the type of timber referred to in Section 40(1)(b) of the *Forest Act*,
 - (d) in the case of paragraph 1.18, the nature of the Licensee's failure to comply with the management plan,
 - (e) the management plan in effect under this Licence and the forest development plan approved in respect of this Licence,
 - (f) any potential interference with the operations of the Licensee under this Licence, and
 - (g) use of the Licence Area for purposes other than timber production, including use of the Licence Area by
 - (i) trappers, guide outfitters, range tenure holders, and other licensed resource users, and
 - (ii) aboriginal people claiming an aboriginal interest in or to the area.

- 1.13 If under paragraph 1.12 the District Manager and the Licensee are unable to agree upon areas of Schedule B Land for the purposes of paragraphs 1.09, 1.10, 1.11 or 1.18, the District Manager or the Licensee may refer the matter to the Regional Manager, in which case the Regional Manager, subject to paragraph 1.16, and having regard to
- (a) the factors referred to in paragraph 1.12, and
 - (b) the recommendations of the District Manager and the Licensee,
- will specify areas for these purposes.
- 1.14 Subject to paragraphs 1.15 and 1.16, the Minister in a notice given to the Licensee may delete an area from Schedule B Land to enable the Regional Manager or District Manager to issue a woodlot licence over the area, if the Chief Forester determines that the portion of the allowable annual cut attributable to the area does not exceed the volume of timber referred to in subparagraph 1.09(a), having regard to the factors and information considered by the Chief Forester in his or her most recent determination of the allowable annual cut.
- 1.15 Before deleting an area under paragraph 1.14, the Minister will consult the Licensee and consider any recommendations made by the Licensee.
- 1.16 The Regional Manager will only specify an area under paragraph 1.13, and the Minister will only delete an area under paragraph 1.14, where the Regional Manager or the Minister, as the case may be, is satisfied that specifying or deleting the area will not
- (a) compromise the management plan in effect under this Licence or a forest development plan approved in respect of this Licence, or
 - (b) unreasonably interfere with the Licensee's operations under this Licence.
- 1.17 Where the Minister deletes an area under paragraph 1.14, the volume of timber referred to in subparagraph 1.09(a) is deemed to be reduced by an amount equal to the portion of the allowable annual cut that the Chief Forester determines is attributable to the deleted area, having regard to the factors and information considered by the Chief Forester in his or her most recent determination of the allowable annual cut.
- 1.18 If
- (a) a management plan referred to in paragraph 2.01 or approved under paragraph 2.28 provides that part of the allowable annual cut is to be harvested from a specified part of the Licence Area or from a specified type of timber or terrain, and the Licensee fails to comply with that provision, and

- (b) as a consequence, the Chief Forester, under Section 69 of the *Forest Act*, reduces the portion of the allowable annual cut available to the Licensee,

then, in addition to any timber disposed of under paragraphs 1.09, 1.10, and 1.11, the Regional Manager or District Manager may dispose of a volume of timber, from areas of Schedule B Land agreed to under paragraph 1.12 or specified under paragraph 1.13, up to an amount equal to the amount by which the Chief Forester reduces the allowable annual cut under Section 69 of the *Forest Act* multiplied by the number of years the reduction remains in effect.

1.19 If an area of Schedule A Land is

- (a) subject to a timber licence that expires, or
- (b) deleted from a timber licence,

then the area is deemed to be deleted from Schedule A Land and added to Schedule B Land.

2.00 MANAGEMENT PLANS

2.01 A management plan

- (a) approved under the tree farm licence replaced by this Licence, and
- (b) still in effect on the date immediately preceding the date referred to in paragraph 1.01,

is deemed for the remainder of the term of the management plan to be the management plan in effect under this Licence.

2.02 **DELETED**

MANAGEMENT PLAN REVIEW

2.03 Not less than 20 months prior to the date on which the management plan in effect under this Licence is due to expire,

- (a) the Regional Manager will provide the Licensee with a review
 - (i) of the management plan in effect under this Licence,

- (ii) the Licensee's performance in respect of that management plan, and
- (b) a list of guidelines currently in effect, and
- (c) the Regional Manager may specify the location(s) and time designated for the draft management plan public review.

TIMBER SUPPLY ANALYSIS INFORMATION PACKAGE

- 2.04 Not less than 16 months prior to the date on which the management plan in effect under this licence is due to expire, the Licensee will submit a Timber Supply Analysis Information Package to the Timber Supply Forester.
- 2.05 A Timber Supply Analysis Information Package submitted under paragraph 2.04 or subparagraph 2.07(b) must
 - (a) include the information required in the applicable manual in effect six months prior to the deadline for submitting the Timber Supply Analysis Information Package,
 - (b) identify assumptions the Licensee proposes to incorporate into the timber supply analysis referred to in paragraph 2.22 which are consistent with
 - (i) this Licence,
 - (ii) the Acts, regulations and standards referred to in paragraph 9.01,
 - (iii) higher level plans, and
 - (iv) subject to paragraph 2.40, the guidelines referred to in paragraph 2.03.(b),
 - (c) without restricting the generality of subparagraph (b), identify assumptions the Licensee proposes to incorporate into the timber supply analysis referred to in paragraph 2.22 regarding
 - (i) the inventory of timber and non-timber resources in the Licence Area,
 - (ii) growth and yield,
 - (iii) regeneration delays,
 - (iv) silviculture treatments,
 - (v) integrated resource management constraints,
 - (vi) harvesting methods and felling, bucking and utilization specifications, and
 - (vii) the timber harvesting land base,

- (d) describe the methodology, including the computer model, if any, that the Licensee proposes to use in the timber supply analysis, including a description of the extent to which the assumptions referred to in subparagraphs (b) and (c) are reflected in the methodology,
- (e) include information which supports the assumptions referred to in subparagraphs (b), (c) and (d),
- (f) describe how the Licensee proposes to address in the timber supply analysis, any inadequacies referred to in the draft management plan submitted under subparagraph 2.09(d), and
- (g) include any other information readily available to the Licensee, which
 - (i) the Licensee, or
 - (ii) the Timber Supply Forester, in a notice given to the Licensee 18 months prior to the date on which the management plan in effect under this licence is due to expire ,considers relevant to an assessment of the timber supply of the Licence area.

2.06 Where the Timber Supply Forester accepts both the assumptions and the methodology referred to in paragraph 2.05 or subparagraph 2.07(b),

- (a) the Timber Supply Forester, within three months after the date on which the Timber Supply Analysis Information Package is submitted under paragraph 2.04, or one month after the information or proposals submitted under subparagraph 2.07(b), will in a notice given to the Licensee accept the assumptions and the methodology referred to in paragraph 2.05 and, if applicable, subparagraph 2.07(b) for use in the timber supply analysis referred to in paragraph 2.22 subject to such conditions as the Timber Supply Forester considers necessary or appropriate, if
 - (i) the requirements of paragraph 2.05 and, if applicable, subparagraph 2.07(b) have been met, and
 - (ii) the Timber Supply Forester is satisfied with the information provided in support of the assumptions and methodology.

2.07 Where the Timber Supply Forester does not accept both the assumptions and the methodology under paragraph 2.06,

- (a) the Timber Supply Forester, within three months after the date on which the Timber Supply Forester receives the Timber Supply Analysis Information Package submitted under paragraph 2.04, or one month after the date on which the Timber Supply Forester receives the information or proposals submitted under subparagraph (b), will specify in a notice given to the Licensee why the Timber Supply Forester has not accepted the assumptions, the methodology or both, and
- (b) the Licensee, within two months after the date on which the Licensee is given the notice referred to in subparagraph (a), will
 - (i) propose new or revised assumptions,
 - (ii) propose a new or revised methodology, and
 - (iii) submit further information in support of the assumptions, the methodology or both,as required by the Timber Supply Forester.

DRAFT MANAGEMENT PLAN

- 2.08 Not less than 16 months prior to the date on which the management plan in effect under this Licence is due to expire, the Licensee will submit a draft management plan to the Regional Manager for comment.
- 2.09 A draft management plan referred to in paragraph 2.08 or subparagraph 2.41(a) must
 - (a) be prepared by a professional forester in accordance with the manual in effect four months prior to the deadline for submitting the draft management plan under paragraph 2.08 or subparagraph 2.41(a),
 - (b) be consistent with
 - (i) this Licence,
 - (ii) the Acts, regulations and standards referred to in paragraph 9.01,
 - (iii) higher level plans,
 - (iv) subject to paragraph 2.37, the guidelines referred to in subparagraph 2.03(b),and take into consideration the Regional Manager's review under paragraph 2.03,
 - (c) include inventories, prepared in the manner, presented in the format and meeting the specifications set or approved in the applicable manual in effect six months prior to the deadline for submitting the Timber Supply Analysis Information Package, of

- (i) the forest and recreation resources in the Licence Area, based on information collected for this purpose by the Licensee, including information relating to visual quality objectives, sensitive soils, recreation sites, and the type of timber and terrain, and
 - (ii) the fisheries, wildlife, range, and cultural heritage resources of the Licence Area, based on the best information readily available to the Licensee,
- (d) include proposals for updating the inventories referred to in subparagraph (c) and, if applicable, addressing inadequacies in the inventory information,
- (e) propose management objectives regarding
 - (i) management and utilization of the timber resources in the Licence Area, including harvesting methods and felling, bucking and utilization specifications suitable to the types of timber and terrain specified in paragraphs 1.03 and 1.04,
 - (ii) protection and conservation of the non-timber values and resources in the Licence Area, including visual quality, biological diversity, soils, water, recreation resources, cultural heritage resources, range land, and wildlife and fish habitats,
 - (iii) integration of harvesting activities in the Licence Area with use of the Licence Area for purposes other than timber production, including use of the Licence Area by
 - (A) trappers, guide outfitters, range tenure holders, and other licensed resource users, and
 - (B) aboriginal people claiming an aboriginal interest in or to the area,
 - (iv) forest fire prevention and suppression, prescribed fire, and fuel management,
 - (v) forest health, including disease and pest management,
 - (vi) silviculture, and
 - (vii) road construction, maintenance and deactivation,
- (f) include proposals for meeting the proposed management objectives referred to in subparagraph (e), including measures to be taken and specifications to be followed by the Licensee which meet or, if the Licensee so chooses, exceeds any requirements of the Acts, regulations and standards referred to in paragraph 9.01, or of the higher level plans, or guidelines referred to in subparagraph (b),
- (g) specify measures to be taken by the Licensee to identify and consult with persons using the Licence Area for purposes other than timber production, including

- (i) trappers, guide outfitters, range tenure holders, and other licensed resource users, and
 - (ii) aboriginal people claiming an aboriginal interest in or to the area,
 - (h) assess the impact the draft management plan may have on factors such as harvest levels, economic opportunities, the number of persons employed by the Licensee and contractors of the Licensee, and the protection and conservation of non-timber values,
 - (i) highlight the key similarities and differences between the draft management plan and the management plan in effect or last in effect under this Licence, and in a summary form compare
 - (i) the impact, if any, that implementation of the management plan in effect or last in effect under this Licence had, and
 - (ii) the impact, if any, that the Licensee anticipates implementation of the draft management plan will have on factors such as those referred to in subparagraph (h),
 - (j) if applicable, provide that part of the allowable annual cut will be harvested from a specified part of the Licence Area, or from a specified type of timber or terrain,
 - (k) include any other information on the development, management and use of the Licence Area that the Chief Forester requires, and
 - (l) if required in the manual referred to in subparagraph (a), provide some or all of the information referred to in this paragraph in the form of maps meeting the requirements of the manual.
- 2.10 At substantially the same time or at a time otherwise agreed to between the Regional Manager and the Licensee, the Licensee must publish, at least twice within a period of two consecutive weeks, a notice in a newspaper(s) circulating near the area of the Licence stating that the draft management plan is available for public review and comment.
- 2.11 The Licensee must provide an opportunity to review the draft management plan to members of the public interested in or affected by operations under the Licence
- (a) at a location and time, if specified by the Regional Manager in the management plan review referred to in subparagraph 2.03(b),
 - (b) at another location proposed by the Licensee and approved by the Regional Manager, or
 - (c) at the Licensee's place of business nearest to the Licence Area.

- 2.12 The public review referred to in paragraph 2.11 must provide an opportunity for comment to members of the public interested in or affected by operations under this Licence, including but not restricted to
- (i) resource agencies,
 - (ii) trappers, guide outfitters, range tenure holders, and other licensed resource users,
 - (iii) aboriginal people,
 - (iv) local governments, and
 - (v) members of the public.
- 2.13 Subject to paragraph 2.14, the opportunity for a review provided under paragraph 2.11 must be for a period of 60 days from the date of the publication of the first notice under paragraph 2.10.
- 2.14 The period of review specified under paragraph 2.13 may be
- (a) any lesser period as mutually agreed upon between the Licensee and the Regional Manager,
 - (b) extended by the Licensee on providing written notice to the Regional Manager, and
 - (c) extended by the Regional Manager on giving at least ten days notice to the Licensee prior to the expiry of the review period.
- 2.15 An opportunity for comment provided to a person referred to in paragraph 2.12 will be adequate only if, in the opinion of the Regional Manager, the opportunity is commensurate with the nature and extent of that person's interest in the Licence Area and any right that person may have to use the Licence Area.
- 2.16 The Regional Manager, within three months after the date on which the Regional Manager receives the draft management plan submitted under paragraph 2.08, will provide the Licensee with written comments on the draft management plan which the Licensee must consider in the development of the timber supply analysis, twenty year plan, and proposed management plan.
- 2.17 The Licensee not less than 12 months prior to the date on which the management plan in effect under this Licence is due to expire must consider all comments received during the period for review under paragraph 2.13, and will submit to the Regional Manager
- (a) a copy of the notice that was published under paragraph 2.10 in respect of the draft management plan, and
 - (b) a copy of each comment received by the Licensee in respect of the draft management plan, and

- (c) proposals, if any, to address the comments referred to in subparagraphs 2.12 and 2.16, in the proposed management plan, timber supply analysis and 20-year plan.

20-YEAR PLAN

- 2.18 Where the Timber Supply Forester accepts the assumptions and the methodology under paragraph 2.06, the Licensee, not less than 10 months prior to the date on which the management plan in effect under this licence is due to expire, will submit a 20-year plan to the District Manager.
- 2.19 A 20-year plan submitted under paragraph 2.18 or subparagraph 2.21(b) must
 - (a) identify
 - (i) the timber harvesting land base,
 - (ii) harvested areas,
 - (iii) existing and proposed road access within the net timber harvesting land base, and
 - (iv) areas subject to special integrated resource management constraints, such as use of the Licence Area for purposes other than timber production,
 - (b) categorize areas within the timber harvesting land base referred to in clause (a)(i) by
 - (i) the type and quality of timber, and
 - (ii) the harvesting methods suitable to the terrain, and
 - (c) in support of the timber supply analysis, set out a hypothetical sequence of cut blocks in 5 year increments over a period of 20 years, or longer if the Licensee so chooses, which is consistent with
 - (i) this Licence,
 - (ii) the Acts, regulations and standards referred to in paragraph 9.01,
 - (iii) higher level plans, and
 - (iv) subject to paragraph 2.37, the guidelines referred to in subparagraph 2.03(b)
- 2.20 Where the District Manager accepts a 20-year plan referred to under paragraph 2.18 or subparagraph 2.21(b),

- (a) the District Manager, within three months after the date on which the 20-year plan is submitted under paragraph 2.18, or one month after the date the 20-year plan is submitted under subparagraph 2.21(b), will in a notice to the Licensee accept the 20-year plan, subject to such conditions as considered necessary or appropriate, and
 - (b) where the District Manager accepts the 20-year plan under subparagraph (a), provide the Licensee with an assessment of the strengths and weaknesses of the 20-year plan.
- 2.21 Where the District Manager does not accept a 20-year plan under paragraph 2.20,
 - (a) the District Manager, within three months after the date on which the District Manager receives a 20-year plan submitted under paragraph 2.18, or one month after the date on which the District Manager receives a 20-year plan submitted under subparagraph (b), will specify in a notice given to the Licensee why the District Manager has not accepted the 20-year plan, and
 - (b) the Licensee, within one month after the date on which the Licensee is given the notice referred to in subparagraph (a), will submit a new or revised 20-year plan to the District Manager.

TIMBER SUPPLY ANALYSIS

- 2.22 Where the Timber Supply Forester accepts the assumptions and the methodology under paragraph 2.06, the Licensee, not less than 10 months prior to the date on which the management plan in effect under this licence is due to expire, will submit a timber supply analysis to the Timber Supply Forester.
- 2.23 A timber supply analysis submitted under paragraph 2.22 or subparagraph 2.25(b) must be based on the assumptions, and use the methodology, accepted by the Timber Supply Forester under paragraph 2.06.
- 2.24 Where the Timber Supply Forester accepts a timber supply analysis under paragraph 2.22 or subparagraph 2.25(b),
 - (a) the Timber Supply Forester, within three months after the date on which the timber supply analysis is submitted under paragraph 2.22, or one month after the date the timber supply analysis is submitted under subparagraph 2.25(b), will in a notice given to the Licensee accept the timber supply analysis, and

- (b) where the Timber Supply Forester accepts the timber supply analysis under subparagraph (a), provide the Licensee with an assessment of the strengths and weaknesses of the timber supply analysis.
- 2.25 Where the Timber Supply Forester does not accept a timber supply analysis under paragraph 2.24,
 - (a) the Timber Supply Forester, within three months after the date on which the Timber Supply Forester receives a timber supply analysis submitted under paragraph 2.22, or one month after the date on which the Timber Supply Forester receives a timber supply analysis submitted under subparagraph (b), will specify in a notice given to the Licensee why the Timber Supply Forester has not accepted the timber supply analysis, and
 - (b) the Licensee, within one month after the date on which the Licensee is given the notice referred to in subparagraph (a), will submit a new or revised timber supply analysis to the Timber Supply Forester.

PROPOSED MANAGEMENT PLAN

- 2.26 The Licensee, not less than four months prior to the date on which the management plan in effect under this Licence is due to expire, will submit to the Chief Forester and Regional Manager
 - (a) a proposed management plan which is based on the draft management plan referred to in paragraph 2.08, and
 - (b) incorporates the Licensee's proposals, if any, to address the comments received from the review of the draft management plan as specified in paragraph 2.17
- 2.27 A proposed management plan submitted by the Licensee under paragraph 2.26, subparagraph 2.31(b) or 2.41(b) must
 - (a) be prepared by a professional forester in accordance with the manual in effect four months prior to the deadline for submitting the draft management plan under paragraph 2.08 or 2.41(a), as the case may be,
 - (b) be signed and sealed by a professional forester, and signed by the Licensee or an authorized signatory of the Licensee,
 - (c) be consistent with
 - (i) this Licence,
 - (ii) the Act, regulations and standards referred to in paragraph 9.01,

- (iii) higher level plans, and
- (iv) subject to paragraph 2.37, the guidelines referred to in subparagraph 2.03(b),

and take into consideration the Regional Manager's review under paragraph 2.03,

- (d) include inventories, prepared in the manner, presented in the format and meeting the specifications set or approved in the applicable manual in effect six months prior to the deadline for submitting the Timber Supply Analysis Information Package, of
 - (i) the forest and recreation resources in the Licence Area, based on information collected for this purpose by the Licensee, including information relating to visual quality objectives, sensitive soils, recreation sites, and the type of timber and terrain, and
 - (ii) the fisheries, wildlife, range, and cultural heritage resources of the Licence Area, based on the best information readily available to the Licensee,
- (e) include proposals for updating the inventories referred to in subparagraph (d) and, if applicable, addressing inadequacies in the inventory information,
- (f) propose management objectives regarding
 - (i) management and utilization of the timber resources in the Licence Area, including harvesting methods and felling, bucking and utilization specifications suitable to the types of timber and terrain specified in paragraphs 1.03 and 1.04,
 - (ii) protection and conservation of the non-timber values and resources in the Licence Area, including visual quality, biological diversity, soils, water, recreation resources, cultural heritage resources, range land, and wildlife and fish habitats,
 - (iii) integration of harvesting activities in the Licence Area with use of the Licence Area for purposes other than timber production, including use of the Licence Area by
 - (A) trappers, guide outfitters, range tenure holders, and other licensed resource users, and
 - (B) aboriginal people claiming an aboriginal interest in or to the area ,
 - (iv) forest fire prevention and suppression, prescribed fire, and fuel management,
 - (v) forest health, including disease and pest management,
 - (vi) silviculture,

- (iii) higher level plans, and
- (iv) subject to paragraph 2.37, the guidelines referred to in subparagraph 2.03(b),

and take into consideration the Regional Manager's review under paragraph 2.03,

- (d) include inventories, prepared in the manner, presented in the format and meeting the specifications set or approved in the applicable manual in effect six months prior to the deadline for submitting the Timber Supply Analysis Information Package, of
 - (i) the forest and recreation resources in the Licence Area, based on information collected for this purpose by the Licensee, including information relating to visual quality objectives, sensitive soils, recreation sites, and the type of timber and terrain, and
 - (ii) the fisheries, wildlife, range, and cultural heritage resources of the Licence Area, based on the best information readily available to the Licensee,
- (e) include proposals for updating the inventories referred to in subparagraph (d) and, if applicable, addressing inadequacies in the inventory information,
- (f) propose management objectives regarding
 - (i) management and utilization of the timber resources in the Licence Area, including harvesting methods and felling, bucking and utilization specifications suitable to the types of timber and terrain specified in paragraphs 1.03 and 1.04,
 - (ii) protection and conservation of the non-timber values and resources in the Licence Area, including visual quality, biological diversity, soils, water, recreation resources, cultural heritage resources, range land, and wildlife and fish habitats,
 - (iii) integration of harvesting activities in the Licence Area with use of the Licence Area for purposes other than timber production, including use of the Licence Area by
 - (A) trappers, guide outfitters, range tenure holders, and other licensed resource users, and
 - (B) aboriginal people claiming an aboriginal interest in or to the area ,
 - (iv) forest fire prevention and suppression, prescribed fire, and fuel management,
 - (v) forest health, including disease and pest management,
 - (vi) silviculture,

- (vii) road construction, maintenance and deactivation, and
- (g) include proposals for meeting the proposed management objectives referred to in subparagraph (f), including measures to be taken and specifications to be followed by the Licensee which meet or, if the Licensee so chooses, exceeds any requirements of the Acts, regulations and standards referred to in paragraph 9.01, or of the higher level plans or guidelines referred to in subparagraph (c),
- (h) specify measures to be taken by the Licensee to identify and consult with persons using the Licence Area for purposes other than timber production, including
 - (i) trappers, guide outfitters, range tenure holders, and other licensed resource users, and
 - (ii) aboriginal people claiming an aboriginal interest in or to the area,
- (i) include
 - (i) the timber supply analysis accepted under paragraph 2.24, together with the assessment referred to in subparagraph 2.24(b), and
 - (ii) the 20-year plan accepted under paragraph 2.20, together with the assessment referred to in paragraph 2.20(b), or
- (j) assess the impact the proposed management plan will have on factors such as harvest levels, economic opportunities, the number of persons employed by the Licensee and contractors of the Licensee, and the protection and conservation of non-timber values,
- (k) highlight the key similarities and differences between the proposed management plan, and the management plan in effect or last in effect under this Licence, and in a summary form compare
 - (i) the impact, if any, that implementation of the management plan in effect or last in effect under this Licence had, and
 - (ii) the impact, if any, that the Licensee anticipates implementation of the proposed management plan will have on factors such as those referred to in subparagraph (j),
- (l) if applicable, provide that part of the allowable annual cut will be harvested from a specified part of the Licence Area, or from a specified type of timber or terrain,
- (m) include any other information on the development, management and use of the Licence Area that the Chief Forester requires, and

- (n) if required in the manual referred to in subparagraph (a), provide some or all of the information referred to in this paragraph in the form of maps meeting the requirements of the manual.
- 2.28 Subject to paragraphs 2.29 and 2.30, the Chief Forester, within two months after the date on which the Chief Forester receives a proposed management plan submitted under paragraph 2.26, subparagraph 2.31(b) or subparagraph 2.41(b), will in a notice given to the Licensee approve the proposed management plan, subject to such conditions as the Chief Forester considers necessary or appropriate, if
 - (a) the Chief Forester is satisfied that the proposed management plan
 - (i) meets the requirements of paragraph 2.26 and paragraph 2.27 or clause 2.41(b)(i), as the case may be, and
 - (ii) incorporates the proposals referred to in subparagraph 2.26(b).
- 2.29 The Chief Forester, in a notice given to the Licensee, may refuse to approve a proposed management plan under paragraph 2.28 until such time as
 - (a) a timber supply analysis is accepted under paragraph 2.24, or
 - (b) a 20-year plan is accepted under paragraph 2.20.
- 2.30 Where a timber supply analysis accepted under paragraph 2.24 or a 20-year plan accepted under paragraph 2.20 was not included in the proposed management plan referred to in paragraph 2.08, before approving a proposed management plan under paragraph 2.28, the Chief Forester, in a notice given to the Licensee, may require the Licensee to refer the timber supply analysis or the 20-year plan, as the case may be, to persons interested in or affected by operations under this Licence.
- 2.31 Where the Chief Forester does not approve a proposed management plan under paragraph 2.28,
 - (a) subject to paragraphs 2.29 and 2.30, the Chief Forester, within two months after the date on which the Chief Forester receives the proposed management plan, will specify in a notice given to the Licensee why the Chief Forester has not approved the proposed management plan, and
 - (b) the Licensee, within one month after the date on which the Licensee is given the notice referred to in subparagraph (a), will submit a new or revised proposed management plan to the Chief Forester.
- 2.32 Subject to paragraphs 2.29 and 2.30, if

(a) the Chief Forester, within three months after the date on which the Chief Forester receives a proposed management plan submitted under paragraph 2.27, has neither

- (i) approved the proposed management plan under paragraph 2.28, nor
- (ii) given the Licensee a notice referred to in subparagraph 2.31(a), and

(b) there is a management plan in effect under this Licence,

then the term of the management plan referred to in subparagraph (b) is deemed to be extended until such time as the Chief Forester approves the proposed management plan under paragraph 2.28, or gives the Licensee a notice referred to in subparagraph 2.31(a), as the case may be.

2.33 Before approving a proposed management plan under paragraph 2.28, the Chief Forester, at his or her sole discretion and notwithstanding the Licensee's obligations under this part, may consult persons who may be interested in or affected by operations under or associated with this Licence, including but not restricted to

- (a) resource agencies,
- (b) trappers, guide outfitters, range tenure holders, and other licensed resource users,
- (c) aboriginal people,
- (d) local governments, and
- (e) members of the public,

and, subject to paragraph 2.34, may consider any comments received as a result of consultation under this paragraph.

2.34 If, because of comments received as a result of consultation under paragraph 2.33, the Chief Forester is considering

- (a) not accepting or not approving, or
- (b) imposing a condition upon acceptance or approval of,

the proposed management plan referred to in paragraph 2.33, the Regional Manager or the Chief Forester, as the case may be, will provide the Licensee with an opportunity to respond to the comments before making a decision.

MISCELLANEOUS

2.35 If the Chief Forester is satisfied that the Licensee or a Ministry employee is trying in good faith to fulfill a requirement or obligation under this Part, but for reasons beyond the control of the Licensee or the Ministry employee, as the case may be, cannot

- (a) meet a deadline referred to in this Part, or
- (b) where there is a management plan in effect under this Licence, fulfill the requirement or obligation before the management plan is due to expire,

then the Chief Forester, in a notice given to the Licensee, will, as applicable,

- (c) extend the deadline by a period the Chief Forester considers sufficient to allow the Ministry employee or the Licensee, as the case may be, to fulfill the requirement or obligation, or
- (d) extend the term of the management plan by a period the Chief Forester considers sufficient to allow the Ministry employee or the Licensee, as the case may be, to fulfill the requirement or obligation in accordance with applicable deadlines,

subject to such conditions as the Chief Forester considers necessary or appropriate.

2.36 Subject to this Licence, unless otherwise agreed to between the parties

- (a) each document accepted or approved under this part must be consistent with the documents previously accepted or approved under this part; and
- (b) subject to paragraphs 2.37 and 2.38, no acceptance or approval given under this part may be revoked or revised.

2.37 If the Licensee

- (a) submits a Timber Supply Analysis Information Package under paragraph 2.04, or the information or proposals referred to in subparagraph 2.07(b) less than 10 months,
- (b) submits a timber supply analysis under paragraph 2.22 or subparagraph 2.25(b), or a 20-year plan under paragraph 2.18 or subparagraph 2.21(b) less than 4 months, or
- (c) submits a draft management plan under paragraph 2.08 less than 12 months

prior to the date on which the management plan in effect under this licence is due to expire, the Chief Forester, in a notice given to the Licensee within one month of the date on which the applicable item is submitted, may require the Licensee to amend one or more of the items referred to in subparagraphs (a) through (c) inclusive, to the extent required to address any new issues that may have arisen and ensure consistency with any new guidelines or manuals in effect on the date the Licensee is given the notice, higher level plans, and the Acts, regulations and standards referred to in paragraph 9.01

2.38 If the Chief Forester considers that

- (a) damage to timber in the Licence Area as a result of fire, flood, wind, insects, disease, or other causes,
- (b) operations conducted in accordance with the management plan are causing or could cause serious damage to the natural environment, including soils, fisheries, wildlife, water, range, and recreation resources,
- (c) establishment, variance, cancellation or replacement of a higher level plan,
- (d) interference with an aboriginal right, or
- (e) a change in the allowable annual cut as a result of a determination by the Chief Forester under the *Forest Act*

have rendered the management plan in effect under the Licence inadequate, the Chief Forester, in a notice given to the Licensee, may require that the management plan be amended.

2.39 A notice referred to in paragraph 2.38 must specify

- (a) why the Chief Forester considers the management plan has been rendered inadequate,
- (b) the extent to which the management plan is inadequate, and
- (c) the changes required by the Chief Forester.

2.40 Where the Chief Forester gives the Licensee a notice referred to in paragraph 2.38, the Licensee, within three months after the date on which the notice is given, will submit for the Chief Forester's approval a proposed amendment to the management plan, which incorporates the changes referred to in subparagraph 2.39(c), to have effect during the unexpired term of the management plan.

- 2.41 If the Licensee fails to comply with the requirements of paragraph 2.40, the management plan in effect under this Licence will expire three months after the date on which the notice referred to in paragraph 2.38 is given to the Licensee, in which case,
- (a) within three months after the date on which the management plan expires under this subparagraph, the Licensee will
 - (i) refer a draft management plan to the Regional Manager and
 - (ii) at the same time, refer the draft management plan referred to in clause (i) to resource agencies and make it available for comment in accordance with paragraphs 2.10 and 2.11, and
 - (b) within six months after the date on which the management plan expires under this paragraph, the Licensee will submit to the Chief Forester a proposed management plan which is based on the draft management plan referred to in subparagraph (a), and a summary of
 - (i) all comments received by the Licensee in complying with the requirements of subparagraph (a), and
 - (ii) the differences, if any, between the draft management plan and the proposed management plan, including differences resulting from modifications made in response to the comments referred to in clause (i).
- 2.42 The Licensee will implement the management plan in effect under this Licence.
- 2.43 The management plan in effect under this Licence is deemed to be part of this Licence.
- 2.44 Subject to paragraphs 2.32, 2.35, and 2.41, a management plan expires five years after the date on which it takes effect.

3.00 CONDITIONS IMPOSED UPON ACCEPTANCE OR APPROVAL

- 3.01 Where under this Licence a Ministry employee has a discretion to make his or her acceptance or approval of a document or plan subject to a condition, the Ministry employee will exercise that discretion in a reasonable manner, having regard to the purposes and functions of the Ministry of Forests set out in Section 4 of the *Ministry of Forests Act* RSBC 1996, c. 300.
- 3.02 The Licensee, in a notice given to the appropriate Ministry employee within 15 days of the date on which the notice of acceptance or approval is given to the Licensee, may reject any condition to which the

acceptance or approval is subject, in which case the notice of approval or acceptance is deemed to be a notice that the applicable document or plan is not accepted or approved for the reasons set out in the conditions.

4.00 FELLING, BUCKING AND UTILIZATION SPECIFICATIONS

- 4.01 4.01 With respect to the harvesting of timber authorized under cutting permits and road permits issued prior to March 1, 2000, the conditions regarding felling, bucking and utilization included in the Licence replaced by this Licence apply, and paragraphs 4.02 to 4.09 (inclusive) of this Licence do not apply. With respect to the harvesting of timber authorized under cutting permits and road permits issued on or after March 1, 2000, the Licensee will
- (a) fell standing timber in accordance with the felling specifications set out in Schedule C,
 - (b) buck felled or dead-and-down timber of the species referred to in subparagraph (a) in accordance with the bucking specifications set out in Schedule C, and
 - (c) utilize all timber of the species and grades as specified in Parts 4.00 and 5.00 of Schedule C.
- 4.02 Timber that is not felled, bucked or utilized in accordance with paragraph 4.01 will be identified as residue or waste in an assessment under Part 5.00.
- 4.03 A cutting permit or road permit may include a requirement that the Licensee fell timber not referred to in subparagraph 4.01(a), in which case, subject to paragraph 4.06, the Licensee will fell but need not utilize such timber.
- 4.04 Subject to paragraph 4.06, the Licensee may utilize
- (a) timber of the species and grades specified in Part 6.00 of Schedule C, and
 - (b) timber referred to in paragraph 4.03.
- 4.05 Timber referred to in subparagraph 4.04(a) that is not utilized by the Licensee will be identified as residue in an assessment under Part 5.00, unless otherwise provided in the current Provincial Logging Residue and Waste Measurement Procedures Manual.
- 4.06 The Licensee will not fell standing timber, and will not buck or utilize felled or dead-and-down timber, if under an operational plan or the Acts, regulations or standards referred to in paragraph 9.01, the Licensee is required not to fell the timber, or not to buck or utilize the timber.

- 4.07 If the Licensee fells, bucks or utilizes timber contrary to paragraph 4.06, the Licensee will
- (a) within 5 business days notify the District Manager, and
 - (b) comply with any directions of the District Manager in respect of the timber.
- 4.08 The felling, bucking and utilization specifications set out in Schedule C of this Licence takes precedence over any utilization standards included in the management plan in effect under this Licence.
- 4.09 A cutting permit or road permit may include felling, bucking and utilization specifications that are different from those specified in Schedule C if mutually agreed to by the District Manager and the Licensee.

5.00 RESIDUE AND WASTE ASSESSMENTS

- 5.01 Subject to paragraphs 5.02 and 5.03, the Licensee must, on an area of land harvested under a cutting permit and, where required by the District Manager on an area of land harvested under a road permit
- (a) carry out an assessment of the volume of residue and waste left
 - (i) within 60 days after primary logging on the area has been completed and ground being sufficiently free of snow to allow for an adequate assessment to be carried out, or
 - (ii) if primary logging on the area is not completed before the expiry of the cutting permit or the road permit, within 60 days after the expiry of the cutting permit or the road permit and ground being sufficiently free of snow to allow for an adequate assessment to be carried out,
 - (b) as part of the assessment,
 - (i) measure the timber that was not felled, or was not bucked or utilized, in accordance with the specifications set out in the Schedule C of this Licence ,
 - (ii) classify the timber referred to in clause (i) as residue or waste, and
 - (iii) classify the residue and waste as avoidable or unavoidable, and
 - (c) within 30 days upon completion of the assessment, provide the District Manager with the results of the assessment.
- 5.02 The District Manager may extend the periods referred to in subparagraph 5.01(a).

- 5.03 If, for the purpose of determining the amount of stumpage payable in respect of timber harvested under a cutting permit, the cutting permit provides that the volume or quantity of timber harvested is to be determined using information provided by a cruise of the timber conducted before the timber is cut, the District Manager may waive the requirement for an assessment of the volume of residue and waste left on the area.
- 5.04 If, in the opinion of the District Manager, the Licensee has failed to comply with the requirements of paragraph 5.01, the District Manager may carry out the assessment.
- 5.05 An assessment referred to in paragraphs 5.01 or 5.04 must be carried out in accordance with the current Provincial Logging Residue and Waste Measurement Procedures Manual.
- 5.06 The District Manager, in a notice given to the Licensee, may require the Licensee to pay in respect of avoidable waste left on an area of land authorized for harvest under a cutting permit or road permit, an amount determined in accordance with paragraph 5.07.
- 5.07 For the purpose of determining the amount payable under paragraph 5.06, the District Manager will
- (a) multiply
 - (i) the volume of avoidable waste assessed under paragraph 5.01 or 5.04 based on sawlog grades, by
 - (ii) the average stumpage rate charged for sawlogs harvested under the cutting permit in statements or invoices issued during the 12 month period ending 1 month after the month in which
 - (A) primary logging on the area was completed, or
 - (B) the cutting permit expires or is otherwise terminated, as the case may be, and
 - (b) multiply
 - (i) the volume of avoidable waste assessed under paragraph 5.01 or 5.04 based on grades other than sawlog grades, by
 - (ii) the stumpage rate charged for timber of the applicable grades.
- 5.08 If the District Manager carries out an assessment under paragraph 5.04, the District Manager, in a notice given to the Licensee, may require the Licensee to pay the costs reasonably incurred by the District Manager in carrying out the assessment.

6.00 CUT CONTROL

- 6.01 For the purposes of the definition of "5 year cut control period" in Section 53 of the *Forest Act*, the first 5 year period for this Licence begins on January 1, 1999.
- 6.02 For the purposes of subparagraph (b) of the definition of the "volume of timber harvested during a calendar year" in Section 53 of the *Forest Act*, the volume of
- (a) avoidable residue,
 - (b) unavoidable residue,
 - (c) avoidable waste, and
 - (d) unavoidable waste
- left on areas of land authorized for harvest under a cutting permit, as determined by an assessment under paragraph 5.01 or 5.04, will be charged to the Licensee as volumes of timber estimated to be wasted or damaged.

7.00 CRUISE AND APPRAISAL INFORMATION

- 7.01 The Licensee must ensure that cruise data submitted under this Licence are compiled in accordance with the current Cruising Compilation Design Manual and based on cruises carried out in accordance with the current Cruising Manual prepared by the Ministry of Forests.
- 7.02 The Licensee must ensure that appraisal data submitted under this Licence are
- (a) compiled in accordance with, and
 - (b) include all data required under,
- the policies and procedures approved by the Minister from time to time under Section 105 of the *Forest Act* for the forest region in which the Licence Area is located.

8.00 CUTTING PERMITS

- 8.01 Subject to paragraphs 8.02 through 8.04 inclusive, the Licensee may submit an application to the District Manager for a cutting permit to authorize the Licensee to harvest the portion of the allowable annual cut available to the Licensee.

- 8.02 The Licensee may only submit an application for a cutting permit to authorize the Licensee to harvest one or more proximate areas of Crown land that are either
- (a) identified on a forest development plan for which the Licensee may, during the term of the forest development plan, apply for a cutting permit, or
 - (b) exempted under the *Forest Practices Code of British Columbia Act* from the requirement for a forest development plan.
- 8.03 Before submitting an application for a cutting permit, the Licensee must compile
- (a) cruise data, and
 - (b) appraisal data
- in accordance with the requirements of Part 7.00, for the areas to be included in the application.
- 8.04 An application for a cutting permit submitted under paragraph 8.01 must
- (a) be in a form acceptable to the District Manager,
 - (b) include
 - (i) a map to a scale acceptable to the District Manager showing the areas referred to in the application,
 - (ii) the cruise data and appraisal data referred to in paragraph 8.03, and
 - (c) if required by the District Manager, identify the sequence in which the areas of land referred to in the application would be harvested if a cutting permit is issued.
- 8.05 The areas of land shown on the map referred to in clause 8.04(b)(i) must be consistent with
- (a) cutblocks referred to in subparagraph 8.02(a), or
 - (b) areas referred to in subparagraph 8.02(b),
- allowing for difference due to scale variation between maps used in the forest development plan or exemption and the map referred to in clause 8.04(b)(i).
- 8.06 Subject to paragraphs 8.08 through 8.10 inclusive, upon receipt of an application for a cutting permit submitted under paragraph 8.01, the District Manager will issue a cutting permit to the Licensee if
- (a) there is a management plan in effect under this Licence,

- (b) the District Manager is satisfied that
 - (i) the requirements of paragraphs 8.02 through 8.05 inclusive have been met, and
 - (ii) the cruise data and appraisal data referred to in clause 8.04(b)(ii) meets the requirements of Part 7.00,
 - (c) the District Manager is satisfied that activities and operations under or associated with the cutting permit will be consistent with this Licence, higher level plans, the management plan referred to in subparagraph (a), and any operational plans approved in respect of the areas of land referred to in the cutting permit.
- 8.07 The District Manager may consult aboriginal people who claim to have an aboriginal interest that may be affected by activities or operations under or associated with a cutting permit.
- 8.08 The District Manager may impose conditions in a cutting permit to address an aboriginal interest.
- 8.09 The District Manager may refuse to issue a cutting permit if, in the opinion of the District Manager, issuance of the cutting permit would result in an unjustifiable infringement of an aboriginal interest.
- 8.10 The District Manager may refuse to issue a cutting permit if a silviculture prescription required under the *Forest Practices Code of British Columbia Act* has not been approved for an area of land referred to in the application for the cutting permit.
- 8.11 If the District Manager
 - (a) determines that a cutting permit may not be issued because the requirements of paragraph 8.06 have not been met,
 - (b) is carrying out consultations under paragraph 8.07, or
 - (c) refuses to issue a cutting permit under paragraph 8.09 or 8.10
 the District Manager will notify the Licensee within 45 days of the date on which the application for the cutting permit was received.
- 8.12 A cutting permit must
 - (a) identify the boundaries of the areas of Crown land which, subject to this Licence, the Licensee is authorized to harvest,
 - (b) specify a term which, subject to paragraph 8.14, does not exceed three years,
 - (c) specify a timber mark to be used in conjunction with the timber harvesting operations carried on under the cutting permit,

- (d) specify whether, for the purpose of determining the amount of stumpage payable in respect of timber harvested under the cutting permit, the volume or quantity of timber is to be determined using information provided by
 - (i) a scale of the timber, or
 - (ii) a cruise of the timber conducted before the timber is cut,
 - (e) include such other provisions, consistent with this Licence, as the District Manager considers necessary or appropriate
- 8.13 Subject to 8.14, the District Manager may amend a cutting permit only with the consent of the Licensee.
- 8.14 With or without the consent of the Licensee, the District Manager, in a notice given to the Licensee, may
 - (a) extend the term of a cutting permit, and
 - (b) if he or she does so, amend the cutting permit to the extent necessary to ensure the cutting permit is consistent with the forest development plan in effect under this Licence at the time the cutting permit is extended.
- 8.15 A cutting permit is deemed to be part of this Licence.
- 8.16 All cutting permits in effect that were issued under the tree farm licence that is replaced by this Licence continue under this Licence for the duration of their respective terms.

9.00 LEGISLATIVE FRAMEWORK

- 9.01 This Licence is subject to
 - (a) the *Forest Act* and the regulations made under that Act, and
 - (b) the *Forest Practices Code of British Columbia Act* and the regulations and standards made under that Act.
- 9.02 Nothing in this Licence or a cutting permit issued under this Licence is to be construed as authorizing the Licensee to engage in any activities or carry out any operations otherwise than in compliance with the requirements of the Acts, regulations and standards referred to in paragraph 9.01.

10.00 ABORIGINAL RIGHTS AND/OR TITLE

- 10.01 Notwithstanding any other provision of this Licence, if a court of competent jurisdiction

- (a) determines that activities or operations under or associated with this Licence will unjustifiably infringe an aboriginal right and/or title,
- (b) grants an injunction further to a determination referred to in subparagraph (a), or
- (c) grants an injunction pending a determination of whether activities or operations under or associated with this Licence will unjustifiably infringe an aboriginal right and/or title,

the Regional Manager or District Manager, in a notice given to the Licensee, may vary or suspend, in whole or in part, or refuse to issue a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee so as to be consistent with the court determination.

10.02 Subject to this Licence and the Acts, regulations and standards referred to in paragraph 9.01, if

- (a) under paragraph 10.01, the Regional Manager or District Manager has varied a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee,
- (b) a court of competent jurisdiction subsequently overturns, sets aside or dissolves the determination or injunction referred to in that paragraph, and
- (c) it is practical to do so,

the Regional Manager or District Manager, at the request of the Licensee, will vary the permit to reflect as closely as possible, for the remainder of its term, the terms and conditions of the permit prior to the variation under paragraph 10.01.

10.03 Subject to this Licence and the Acts, regulations and standards referred to in paragraph 9.01, if

- (a) under paragraph 10.01, the Regional Manager or District Manager has suspended a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee,
- (b) a court of competent jurisdiction subsequently overturns, sets aside or dissolves the determination or injunction referred to in that paragraph, and
- (c) it is practical to do so,

the Regional Manager or District Manager, at the request of the Licensee, will reinstate the permit for the remainder of its term.

- 10.04 Subject to this Licence, if
- (a) under paragraph 10.01, the Regional Manager or District Manager has refused to issue a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee,
 - (b) a court of competent jurisdiction subsequently overturns, sets aside or dissolves the determination or injunction referred to in that paragraph, and
 - (c) it is practical to do so,
- the Regional Manager or District Manager, at the request of the Licensee, will issue the permit.

11.00 REPORTING

- 11.01 The Regional Manager, in a notice given to the Licensee by April 1, may require the Licensee to submit a report containing such information as the Regional Manager requires regarding
- (a) the Licensee's performance of its obligations under or in respect of this Licence, the approved management plan, the allowable annual cut rationale, and conditions from the Chief Forester's management plan approval letter, and
 - (b) the processing or other use or disposition of the timber harvested under this Licence
- in the previous calendar year if the information is not included in any other reports which the Licensee must submit under the Acts or regulations referred to in paragraph 9.01.
- 11.02 Upon receipt of a notice referred to in paragraph 11.01, the Licensee, on or before the date specified in the notice, must submit a report to the Regional Manager containing the required information.
- 11.03 Subject to paragraph 11.04, the Regional Manager may include the information contained in a report submitted under paragraph 11.02 in any reports prepared by the Ministry of Forests for public review.
- 11.04 Subject to the *Freedom of Information and Protection of Privacy Act*, the Regional Manager will not disclose information provided in confidence by the Licensee in a report submitted under paragraph 11.02.

12.00 FINANCIAL AND DEPOSITS

12.01 In addition to any money payable under the Acts and regulations referred to in paragraph 9.01 in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, the Licensee will pay to the Crown, immediately upon receipt of a notice, statement or invoice issued on behalf of the Crown,

(a) stumpage under Part 7 of the *Forest Act* in respect of timber harvested

(i) under a cutting permit from

(A) Schedule B Land, or

(B) Schedule A Land subject to a timber licence, or

(ii) under a road permit,

at rates determined, redetermined and varied under Section 105 of that Act, and

(b) any payments required under Part 5.00 or Part 14.00.

12.02 During the term of this Licence, the Licensee will maintain with the Crown a deposit in the amount prescribed under the *Forest Act* or the regulations made under that Act, in a form acceptable to the Minister, as security for the Licensee's performance of its obligations under or in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee.

12.03 If the Regional Manager or District Manager gives the Licensee a notice that an amount has been taken under this Part from the deposit, the Licensee, within four weeks of the date on which the notice is given, will pay to the Crown, in a form acceptable to the Minister, an amount sufficient to replenish the deposit.

12.04 If the Licensee fails

(a) to pay money that the Licensee is required to pay to the Crown under

(i) this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or

(ii) in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or

(b) to otherwise perform its obligations under

(i) this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or

12.00 FINANCIAL AND DEPOSITS

12.01 In addition to any money payable under the Acts and regulations referred to in paragraph 9.01 in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, the Licensee will pay to the Crown, immediately upon receipt of a notice, statement or invoice issued on behalf of the Crown,

(a) stumpage under Part 7 of the *Forest Act* in respect of timber harvested

(i) under a cutting permit from

(A) Schedule B Land, or

(B) Schedule A Land subject to a timber licence, or

(ii) under a road permit,

at rates determined, redetermined and varied under Section 105 of that Act, and

(b) any payments required under Part 5.00 or Part 14.00.

12.02 During the term of this Licence, the Licensee will maintain with the Crown a deposit in the amount prescribed under the *Forest Act* or the regulations made under that Act, in a form acceptable to the Minister, as security for the Licensee's performance of its obligations under or in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee.

12.03 If the Regional Manager or District Manager gives the Licensee a notice that an amount has been taken under this Part from the deposit, the Licensee, within four weeks of the date on which the notice is given, will pay to the Crown, in a form acceptable to the Minister, an amount sufficient to replenish the deposit.

12.04 If the Licensee fails

(a) to pay money that the Licensee is required to pay to the Crown under

(i) this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or

(ii) in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or

(b) to otherwise perform its obligations under

(i) this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or

- (ii) in respect of this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, the Regional Manager or District Manager, after at least four weeks notice to the Licensee, may take from the deposit
- (c) an amount equal to the money which the Licensee failed to pay,
- (d) an amount sufficient to cover all costs reasonably incurred by the Regional Manager or District Manager in remedying the Licensee's failure to perform its obligations, or
- (e) an amount equal to the Regional Manager's or District Manager's estimate of the costs which the Regional Manager or District Manager could reasonably expect to incur in remedying the Licensee's failure to perform its obligations,

and for that purpose a security included in the deposit may be realized.

12.05 A notice referred to in paragraph 12.04 must specify

- (a) the money which the Licensee has failed to pay or the obligation which the Licensee has failed to perform, and
- (b) the amount the Regional Manager or District Manager intends to take from the deposit.

12.06 Subject to paragraphs 12.08, 12.09 and 12.10, if

- (a) the Regional Manager or District Manager, under paragraph 12.04, takes from the deposit an amount equal to the Regional Manager's or District Manager's estimate of the costs which the Regional Manager or District Manager could reasonably expect to incur in remedying the Licensee's failure to perform its obligations, and
- (b) the costs reasonably incurred by the Regional Manager or District Manager in remedying the Licensee's failure to perform its obligations are less than the amount taken from the deposit,

the Crown will as soon as feasible return to the Licensee an amount equal to the difference between the amount taken from the deposit and the costs reasonably incurred by the Regional Manager or District Manager.

12.07 If

- (a) the Regional Manager or District Manager, under paragraph 12.04, takes from the deposit an amount equal to the Regional Manager's or District Manager's estimate of the costs which the Regional Manager or District Manager could reasonably expect to incur in remedying the Licensee's failure to perform its obligations, and
- (b) the costs reasonably incurred by the Regional Manager or District Manager in remedying the Licensee's failure to perform its obligations are greater than the amount taken from the deposit,

the Regional Manager or District Manager may take from the deposit an additional amount equal to the difference between the costs incurred by the Regional Manager or District Manager and the amount originally taken from the deposit, and for that purpose a security included in the deposit may be realized.

12.08 If the Regional Manager or District Manager, under paragraph 12.04, takes from the deposit an amount equal to the Regional Manager's or District Manager's estimate of the costs which the Regional Manager or District Manager could reasonably expect to incur in remedying the Licensee's failure to perform its obligations, the Regional Manager or District Manager is under no obligation to remedy the Licensee's failure.

12.09 If

- (a) the Regional Manager or District Manager, under paragraph 12.04, takes from the deposit an amount equal to the Regional Manager's or District Manager's estimate of the costs which the Regional Manager or District Manager could reasonably expect to incur in remedying the Licensee's failure to perform its obligations,
- (b) the Regional Manager or District Manager does not remedy the Licensee's failure to perform its obligations, and
- (c) the Regional Manager or District Manager gives a notice to the Licensee indicating that the Crown will not be remedying the Licensee's failure to perform its obligations,

subject to paragraph 12.10, the Crown may retain the amount taken from the deposit under paragraph 12.04.

12.10 If, after receiving a notice referred to in paragraph 12.09, the Licensee

- (a) remedies the failure to perform its obligations, and

- (b) gives a notice to that effect to the Regional Manager or District Manager within three months of the date on which the notice referred to in paragraph 12.09 is given to the Licensee, or within such longer period as the Regional Manager may approve,

the Crown will return to the Licensee an amount equal to the difference between the amount taken from the deposit and any costs reasonably incurred by the Regional Manager or District Manager in respect of the Licensee's failure to perform its obligations.

12.11 If the Regional Manager or District Manager considers that

- (a) any activity or operation that may be engaged in or carried out under this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, is likely to cause damage to persons or property, and
- (b) the deposit is insufficient to indemnify the Crown for any liability which the Crown might incur as a consequence of the activity or operation,

the Regional Manager or District Manager may require the Licensee to maintain with the Crown a special deposit, in a form acceptable to the Minister, in the amount determined by the Regional Manager or District Manager, as the case may be, and the Licensee will comply.

12.12 If the Licensee fails to

- (a) remedy any damage resulting from an activity or operation referred to in paragraph 12.11, or
- (b) compensate any person who suffers a loss as a result of an activity or operation referred to in paragraph 12.11,

the Regional Manager or District Manager, after at least four weeks notice to the Licensee, may take an amount from the special deposit sufficient to indemnify the Crown for any liability which is or may be incurred by the Crown as a consequence of a failure referred to in subparagraph (a) or (b).

12.13 A notice referred to in paragraph 12.12 must specify

- (a) the nature of the Licensee's failure, and
- (b) the amount the Regional Manager or District Manager intends to take from the special deposit.

12.14 Subject to the *Forest Act* and the regulations made under that Act, the Crown will return to the Licensee

- (a) the deposit, less deductions made under paragraphs 12.04 and 12.07, when
 - (i) this Licence expires and is not replaced under Section 36 of the *Forest Act*, or is surrendered, and
 - (ii) the Regional Manager is satisfied that the Licensee has fulfilled its obligations under this Licence, and
- (b) a special deposit, less deductions made under paragraph 12.12, when the Regional Manager is satisfied that the Crown is no longer at risk of being held liable as a consequence of an activity or operation referred to in paragraph 12.11.

13.00 ACCESS AND ACCOMMODATION

- 13.01 Nothing in this Licence authorizes the Licensee to in any way restrict the Crown's right of access to Schedule B Land or Schedule A Land subject to a timber licence.
- 13.02 The Regional Manager or District Manager may carry out on Schedule B Land and Schedule A Land subject to a timber licence
 - (a) silviculture the Crown is required to carry out, under the Acts or regulations referred to in paragraph 9.01, and
 - (b) any other silviculture, provided it does not
 - (i) compromise the management plan in effect under this Licence or a forest development plan approved in respect of this Licence, or
 - (ii) unreasonably interfere with the Licensee's operations under this Licence.
- 13.03 Where the Regional Manager or District Manager carries out silviculture referred to in paragraph 13.02, the Regional Manager or District Manager, as the case may be, will ensure the silviculture is consistent with the intent of the management plan in effect under this Licence, except where the Regional Manager or District Manager is required to depart from the intent of the management plan because of the requirements of a higher level plan or the Acts, regulations or standards referred to in paragraph 9.01.
- 13.04 Any Ministry employee may
 - (a) enter onto Schedule A Land that is not subject to a timber licence, and
 - (b) use roads owned or deemed to be owned by the Licensee, and,

for the purpose of fulfilling an obligation or exercising a right under this Licence.

- 13.05 The Licensee will allow any person who has been granted harvesting rights to timber referred to in paragraphs 1.09, 1.10, 1.11 or 1.18 to use any road referred to in subparagraph 13.04(b) for the purpose of gaining access to timber within the Licence Area.
- 13.06 The Licensee will not require any payment from a person referred to in paragraph 13.05 other than a reasonable payment in respect of the actual maintenance costs of the road.
- 13.07 Upon reasonable notice from the Regional Manager or District Manager, the Licensee will provide a Ministry employee with reasonable office and living accommodation on premises owned or operated by the Licensee in or near the Licence Area, to enable the Ministry employee to fulfill an obligation or exercise a right under this Licence.
- 13.08 The Licensee may charge the Regional Manager or District Manager, as the case may be, for costs reasonably incurred in providing the accommodation referred to in paragraph 13.07.

14.00 CONTRACTORS

- 14.01 Each year during the term of this Licence, the Licensee will ensure that not less than
 - (a) 50% of the volume of timber harvested by or on behalf of the Licensee from the Licence Area during the year, multiplied by
 - (b) the result obtained by the division of
 - (i) the portion of the allowable annual cut that the Chief Forester determines is attributable to Schedule B Land, by
 - (ii) the allowable annual cut,is harvested by persons under contract with the Licensee.
- 14.02 Compliance with paragraph 14.01 will be calculated in accordance with the method prescribed under the *Forest Act* or the regulations made under that Act.
- 14.03 If in a calendar year the volume of timber harvested by persons under contract with the Licensee is less than the volume required under paragraph 14.01, the Regional Manager, in a notice given to the Licensee, may require the Licensee to pay an amount determined in accordance with paragraph 14.04.
- 14.04 For the purpose of determining the amount payable under paragraph 14.03, the Regional Manager will multiply

- (a) the volume required under paragraph 14.01, minus the volume harvested during the calendar year by persons under contract, by
 - (b) the average stumpage rate charged for sawlogs in statements or invoices issued to the Licensee during the calendar year in respect of timber harvested under this Licence.
- 14.05 The Minister may relieve the Licensee from the requirements of this Part to the extent provided for under the *Forest Act* or the regulations made under that Act.
- 14.06 The Licensee may contract to have more than the volume required under paragraph 14.01 harvested by persons under contract.

15.00 TIMBER PROCESSING

- 15.01 The Licensee will process all timber harvested under a cutting permit or road permit, or equivalent volumes of timber or wood residue excluding hog fuel, obtained directly or indirectly, through a timber processing facility owned or operated by the Licensee or an affiliate of the Licensee within the meaning of Section 53(1) of the *Forest Act*, unless the Minister exempts the Licensee in whole or in part from the requirements of this paragraph.
- 15.02 If the Licensee
 - (a) intends to close a timber processing facility or reduce its production, or
 - (b) has reason to believe that an affiliate of the Licensee within the meaning of Section 53 of the *Forest Act* intends to close a timber processing facility or reduce its productionfor a period of longer than 90 days, the Licensee will give the Minister at least three months notice prior to the closure or reduction.
- 15.03 If
 - (a) the Licensee, or
 - (b) an affiliate of the Licensee within the meaning of Section 53 of the *Forest Act*,closes a timber processing facility or reduces its production for a period longer than 90 days, the Licensee will on request of the Minister provide information regarding the volume of Crown timber processed through the timber processing facility during the 24 month period immediately preceding the closure or reduction in production level.

- 15.04 The Licensee will continue to operate, and where applicable construct or expand, a timber processing facility in accordance with
- (a) the proposal made in the application on which the award of the tree farm licence replaced by this Licence or any predecessor to that tree farm licence was based, and
 - (b) the revisions, if any, to that proposal.

16.00 LIABILITY AND INDEMNITY

- 16.01 Subject to paragraph 16.03, the Licensee will indemnify the Crown against and save it harmless from all claims, demands, suits, actions, causes of action, costs, expenses and losses faced, incurred or suffered by the Crown as a result, directly or indirectly, of any act or omission of
- (a) the Licensee,
 - (b) an employee of the Licensee,
 - (c) an agent of the Licensee,
 - (d) a contractor of the Licensee who engages in any activity or carries out any operation, including but not restricted to harvesting operations, under or associated with this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee, or
 - (e) any other person who on behalf of or with the consent of the Licensee engages in any activity or carries out any operation, including but not restricted to harvesting operations, under or associated with this Licence, a cutting permit, road permit or special use permit, or a free use permit issued to the Licensee.
- 16.02 For greater certainty, the Licensee has no obligation to indemnify the Crown under paragraph 16.01 in respect of any act or omission of
- (a) an employee, agent or contractor of the Crown, in the course of carrying out his or her duties as employee, agent or contractor of the Crown, or
 - (b) a person, other than the Licensee, to whom the Crown has granted the right to use or occupy Crown land, including a person who has been granted the right to harvest timber referred to in paragraphs 1.09, 1.10, 1.11 or 1.18, in the course of exercising those rights.
- 16.03 Paragraph 16.01 does not apply to an act or omission which is a direct response to, and complies with, an order made by a Ministry employee or another officer of the Crown.

- 16.04 Amounts taken under Part 12.00 from the deposit or a special deposit, any payments required under Part 5.00 or Part 14.00, any reductions made under the *Forest Act* and regulations to the portion of the allowable annual cut available to the Licensee, and payments required further to the indemnity referred to in paragraph 16.01 are in addition to and not in substitution for any other remedies available to the Crown in respect of a default of the Licensee.

17.00 LIMITATION OF LIABILITY

- 17.01 The Crown is not liable to the Licensee for injuries, losses, expenses, or costs incurred or suffered by the Licensee as a result, directly or indirectly, of an act or omission of a person who is not a party to this Licence, including but not restricted to an act or omission of a person disrupting, stopping or otherwise interfering with the Licensee's operations under this Licence by road blocks or other means.

18.00 TERMINATION

- 18.01 If this Licence expires and is not replaced under Section 36 of the *Forest Act*, or is surrendered, cancelled or otherwise terminated,
- (a) all cutting permits will immediately terminate, and
 - (b) timber, including logs and special forest products, harvested from Schedule B Land under the authority of this Licence and that are still located on the Licence area, will vest in the Crown, without right of compensation to the Licensee, and
 - (c) unless otherwise agreed to between the District Manager and the Licensee prior to the surrender, cancellation or termination of this Licence, title to all improvements, including roads and bridges, constructed by the Licensee on Crown land under the authority of this Licence will vest in the Crown, without right of compensation to the Licensee, and
 - (d) the Licensee may continue to enter and use Schedule B Land for a period of one month after the expiry or termination of this Licence for the purpose of removing the Licensee's property.
- 18.02 The Licensee will not remove any improvements or timber referred to in subparagraph 18.01(b), unless authorized to do so by the Regional Manager.

- 18.03 If the Licensee commits an act of bankruptcy, makes a general assignment of its creditors or otherwise acknowledges its insolvency the Licensee is deemed to have failed to perform an obligation under this Licence.

19.00 NOTICE

- 19.01 A notice given under this Licence must be in writing.
- 19.02 A notice given under this Licence may be
- (a) delivered by hand,
 - (b) sent by mail, or
 - (c) subject to paragraph 19.05, sent by facsimile transmission,
- to the address or facsimile number, as applicable, specified on the first page of this Licence, or to such other address or facsimile number as is specified in a notice given in accordance with this Part.
- 19.03 If a notice is given under this Licence, it is deemed to have been given
- (a) if it is given in accordance with subparagraph 19.02(a), on the date it is delivered by hand,
 - (b) if it is given in accordance with subparagraph 19.02(b), subject to paragraph 19.04, on the eighth day after its deposit in a Canada Post Office at any place in Canada, and
 - (c) if it is given in accordance with subparagraph 19.02(c), subject to paragraph 19.05, on the date it is sent by facsimile transmission.
- 19.04 If, between the time a notice is mailed in accordance with subparagraph 19.02(b) and the time it is actually received, there occurs a postal strike, lockout or slowdown that might reasonably affect delivery of the notice, the notice is not deemed to be given until the party actually receives it.
- 19.05 If a notice is sent by facsimile transmission, the party sending the notice must take reasonable steps to ensure that the transmission has been successfully completed.

20.00 MISCELLANEOUS

- 20.01 This Licence will enure to the benefit of, and be binding on, the parties and their respective heirs, executors, successors and permitted assigns.

- 20.02 The laws of British Columbia will govern the interpretation of this Licence and the performance of the parties' obligations under this Licence.
- 20.03 The Licensee will use the services of one or more professional foresters to manage the Licence Area.
- 20.04 At the request of the Regional Manager or District Manager, the Licensee will survey and define on the ground any or all boundaries of the Licence Area.
- 20.05 Where
- (a) the boundaries of the Licence Area are based on boundaries established under existing or expired timber licences,
 - (b) the legal description of the boundaries of the Licence Area has been derived from original timber licence survey plans or from reference maps prepared from original timber licence survey plans, and
 - (c) the legal description differs from the actual ground location of timber licence corner posts,
- the boundaries of the Licence Area are the boundaries as originally established by the actual ground location of the timber licence corner posts.
- 20.06 Any power conferred or duty imposed on a Ministry employee referred to in this Licence may be exercised or fulfilled by another Ministry employee designated or authorized to do so by the Minister, the Chief Forester, the Regional Manager, or the District Manager, as appropriate.
- 20.07 Where under this Licence the Minister or a Ministry employee has a discretion to require information, the Minister or Ministry employee, as the case may be, will exercise this discretion in a reasonable manner, having regard to the purposes and functions of the Ministry of Forests set out in Section 4 of the *Ministry of Forests Act* RSBC 1996, c. 300.
- 20.08 Subject to this Licence and all applicable legislation, including but not restricted to the Acts, regulations and standards referred to in paragraph 9.01, the Minister will ensure that the obligations under this Licence of the Ministry employees referred to in this Licence are fulfilled.
- 20.09 Nothing in this Licence entitles the Licensee to have an area of Schedule B Land, or Schedule A Land subject to a timber licence, replaced with another area, or to have harvesting rights awarded under another agreement under the *Forest Act*, in the event timber is damaged or destroyed by pests, fire, wind or other natural causes, or an area of land

is deleted from the Licence Area under the Acts or regulations referred to in paragraph 9.01, or under any other Act or regulation.

20.10 The Schedules to this Licence are deemed to be part of this Licence.

21.00 INTERPRETATION & DEFINITIONS

21.01 This Licence is divided into parts, paragraphs, subparagraphs, clauses and subclauses, illustrated as follows:

1.00 PART;

1.01 PARAGRAPH;

(a) SUBPARAGRAPH;

(i) CLAUSE;

(A) SUBCLAUSE;

and a reference to a subparagraph, clause or subclause is to be construed as a reference to a subparagraph, clause or subclause of the paragraph, subparagraph or clause, as the case may be, in which the reference occurs.

21.02 In this Licence, unless the context otherwise requires,

- (a) "aboriginal interest" means potential for aboriginal right(s) and/or title.
- (b) "aboriginal people" includes registered and non-registered Indians, Inuits and Metis,
- (c) "allowable annual cut" means the allowable annual cut determined by the Chief Forester for the Licence Area in accordance with the requirements of the *Forest Act*,
- (d) "average stumpage rate charged for sawlogs" means the total stumpage charged for sawlogs divided by the total volume of sawlogs,
- (e) "avoidable" in respect of residue or waste means timber that does not fall within the definition of unavoidable,
- (f) "cultural heritage resource" means an object, a site or the location of a traditional societal practice that is of historic, cultural, or archaeological significance to the Province, a community or an aboriginal people,
- (g) "close" or "closure" means cessation of production of the principal forest products normally produced by a timber processing facility,

- (h) "cutting permit" means a cutting permit issued under this Licence or a cutting permit referred to in paragraph 8.16,
- (i) "deposit" means the deposit referred to in paragraph 12.02,
- (j) "District Manager" means
 - (i) a District Manager appointed under the *Ministry of Forests Act*, for a forest district in which all or part of the Licence is situated, and
 - (ii) any person authorized by the District Manager to exercise a power or fulfil a duty under this Licence,
- (k) "*Forest Act*" means the *Forest Act*, R.S.B.C. 1996 , c. 157 , as amended from time to time, or the successor to this Act if it is repealed,
- (l) "forest development plan" means a forest development plan referred to in the *Forest Practices Code of British Columbia Act*
- (m) "*Forest Practices Code of British Columbia Act*" means the *Forest Practices Code of British Columbia Act*, B.C. 1996, c. 159 , as amended from time to time, or the successor to this Act if it is repealed,
- (n) "free use permit" means a free use permit issued under the *Forest Act* to
 - (i) the Licensee, or
 - (ii) to a person other than the Licensee,to authorize the harvest of timber within the Licence Area,
- (o) "guideline" means a guideline, guidebook, policy, procedure or manual regarding forest practices applicable to all or part of the Licence Area, which has been set or approved by the Ministry,
- (p) "higher level plan" means a higher level plan that is applicable to all or part of the Licence Area,
- (q) "Licence Area" means Schedule A Land and Schedule B Land,
- (r) "management plan" means a plan approved under the TFL for managing, protecting and conserving both the timber resources and the non-timber values and resources of the Licence Area, and integrating harvesting and related activities with use of the Licence Area for purposes other than timber production,
- (s) "manual" means a guideline, guidebook, policy, procedure, or manual set or approved by the Ministry for preparation of:

- (i) a Statement of Management Objectives, Options and Procedures,
- (ii) a Timber Supply Analysis Information Package,
- (iii) a timber supply analysis,
- (iv) a management plan,
- (v) inventories referred to in Part 2.00,
- (t) "Ministry" means the Ministry of Forests,
- (u) "Ministry officer" means an employee of the Ministry,
- (v) "person" includes a corporation and a partnership,
- (w) "pest" means any animal, insect, fungus, bacteria, virus, nematode, or other organism which is detrimental to effective forest management,
- (x) "primary logging" means felling timber and yarding or forwarding the timber to central landings or road-sides, but does not include removing the timber from these landings or road-sides,
- (y) "Regional Manager" means
 - (i) a Regional Manager appointed under the *Ministry of Forests Act*, for a forest region in which all or part of the Licence Area is situated, and
 - (ii) any person authorized by the Regional Manager to exercise a power or fulfil a duty under this Licence,
- (z) "residue" means timber of a species and grade specified as optional utilization in Schedule "C" of this Licence or any cutting permits issued in accordance with this licence, that is not utilized by the Licensee, unless otherwise provided in the current Provincial Logging Residue and Waste Measurement Procedures Manual,
- (aa) "resource agencies" means any governmental agency, Ministry or department having jurisdiction over a resource which may be affected by any activity or operation, including but not restricted to harvesting activities or operations, engaged in or carried out under or associated with this Licence or a road permit,
- (bb) "review strategy" means a plan for obtaining input from resource agencies and interested persons regarding management and development of the Licence Area,
- (cc) "road permit" means a road permit entered into under the *Forest Act* which provides access to timber harvested, or to be harvested, under this Licence,

- (dd) "Schedule A Land" means the land described in Schedule "A" to this Licence,
- (ee) "Schedule B Land" means the Crown land described in Schedule "B" to this Licence,
- (ff) "silviculture prescription" means a silviculture prescription referred to in the *Forest Practices Code of British Columbia Act*,
- (gg) "special deposit" means a special deposit referred to in paragraph 12.11,
- (hh) "special use permit" means a special use permit issued under the *Forest Act* before June 15, 1995, or under the *Forest Practices Code of British Columbia Act* on or after June 15, 1995, to authorize the Licensee to use or occupy Crown land within the Licence Area,
- (ii) "timber harvesting land base" means the portion of the total Licence Area considered to contribute to, and be available for, long-term timber supply.
- (jj) "timber supply analysis" means an analysis of the short-term and long-term availability of timber for harvesting in the Licence Area, including an analysis of the short and long-term effect of management practices on the availability of timber,
- (kk) "Timber Supply Analysis Information Package" means information relating to the preparation of a timber supply analysis, including information regarding the assumptions to be incorporated into a timber supply analysis, and the methodology to be used in the timber supply analysis,
- (ll) "Timber Supply Forester" means the Ministry employee designated by the Chief Forester to review the timber supply analysis information package and the timber supply analysis,
- (mm) "20-year plan" means an operational timber supply projection for the Licence Area, prepared in support of a timber supply analysis, that indicates the availability of timber over a period of not less than 20 years,
- (nn) "unavoidable" in respect of residue or waste means timber that was not felled, or was not bucked or utilized, in accordance with the specifications set out in Schedule C of this Licence, because the timber
 - (i) is inaccessible or physically obstructed,
 - (ii) could not be felled, bucked or utilized safely, or

- (iii) could not be felled, bucked or utilized because of the restriction referred to in paragraph 4.06,
 - (oo) "utilize" means to remove timber from the Licence Area for use or processing elsewhere,
 - (pp) "waste" means timber referred to in paragraph 4.01 that is not felled, bucked or utilized in accordance with the requirements of Schedule C of this Licence.
- 21.03 Unless otherwise provided in paragraph 21.02, if a word or phrase used in this Licence is defined in the *Forest Act* or the *Forest Practices Code of British Columbia Act* the definition in the Act applies to this Licence, and where the word or phrase in the Act is replaced by a new word or phrase, this Licence is deemed to have been amended accordingly.
- 21.04 If a provision of the *Forest Act* or the *Forest Practices Code of British Columbia Act* referred to in this Licence is renumbered, the reference in this Licence is to be construed as a reference to the provision as renumbered.
- 21.05 In this Licence, unless the context otherwise requires,
 - (a) the singular includes the plural and the plural includes the singular, and
 - (b) the masculine, the feminine and the neuter are interchangeable.

IN WITNESS WHEREOF this Licence has been executed by the Minister and the Licensee on the dates written below:

SIGNED by the Minister)
on behalf of Her Majesty)
the Queen in Right of)
the Province of)
British Columbia)
in the presence of:)

)
BRIAN GILES)
Minister STAFF.)

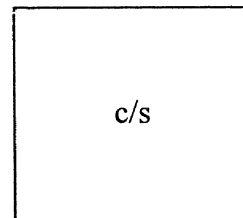


The Honourable David Zirnelt
Minister of Forests

Date: DECEMBER 8, 1999

THE COMMON SEAL of)
the Licensee was affixed)
in the presence of:)

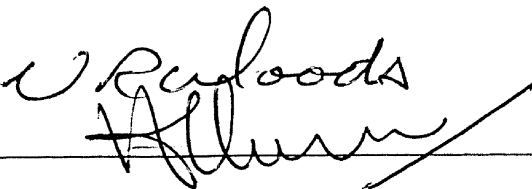
_____)
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OR

SIGNED by the Licensee)
in the presence of:)

_____)
_____)
_____)



(Licensee)

Date: October 29, 1999

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

Forest lands and merchantable timber in other tenures owned or controlled by the licensee in the
Naka Tree Farm Licence 25.

BLOCK 1		CROWN GRANTS		
CROWN GRANTS	LAND DISTRICT	HECTARES MORE OR LESS	CERTIFICATE OF TITLE	PARCEL IDENTIFIER
1 Parcel A (DD 88175I) of Section 2 (except those parts in Plans 4194 and 11741, Parcel No. 1 (DD 130151I) and that part shown outlined in red on Plan 843R)	Renfrew	2.266 Ha.	K6014	009-572-961
2 That part of Section 2 shown outlined in red on Plan 133R and except that part in Plan 23879)	Renfrew	17.070 Ha.	K6015	009-573-071
3 That part of Sections 2 and 4 shown outlined in red on Plan 427R	Renfrew	2.064 Ha.	K6016	009-573-208
4 Section 3 (except Parcel C (DD 170967I)	Renfrew	253.342 Ha.	K6017	000-643-203
5 Parcel C (DD 170967I) of Sections 3 and 9	Renfrew	6.330 Ha.	K88573	009-573-437
6 Lot 1, Section 9, Plan 13455 (except part in Plan VIP58390)	Renfrew	1.280 Ha.	EH27315	004-572-734

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

CROWN GRANTS	LAND DISTRICT	HECTARES MORE OR LESS	CERTIFICATE OF TITLE	PARCEL IDENTIFIER
7 Section 9 (except Parcel A (DD 98685I) Parcel B (DD 99860I) and Parcel C (DD 170967I) and except part in Plan VIP 58390)	Renfrew	26.068 Ha.	EH27317	000-643-220
8 Parcel B (DD 99860I) of Section 9 (except those parts in Plans 13455, 32802 and VIP58390)	Renfrew	11.460 Ha.	EH27316	009-574-212
9 Section 53 (except Parcel A (DD 114850I)	Renfrew	64.752 Ha.	J108764	009-589-783
10 District Lot 71 (except part in Plan 3388 RW West Coast road)	Renfrew	90.605 Ha.	EJ132567	008-694-885
11 District Lot 72 (except part in Plan 3388 RW West Coast road)	Renfrew	63.382 Ha.	EJ132568	008-694-915
12 District Lot 73	Renfrew	49.778 Ha.	S112674	008-694-931
13 That part of Section 74 lying to the north of the northerly boundary of Plan 109RW	Renfrew	70.418 Ha.	J108765	009-590-412
14 Lot 1, Section 75, Plan 24134	Renfrew	18.200 Ha.	K6031	002-974-941
15 Strata Lot 13 of Section 76 and District lot 745, Strata Plan VIS4766	Renfrew	64.700 Ha.	EN21257	024-486-914

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

CROWN GRANTS	LAND DISTRICT	HECTARES MORE OR LESS	CERTIFICATE OF TITLE	PARCEL IDENTIFIER
16 District Lot 80 (except Parcel A (DD 278319I)	Renfrew	61.919 Ha.	J108767	009-590-552
17 Section 83 (except that part in District Lot 868)	Renfrew	61.862 Ha.	J108768	009-591-613
18 Section 84	Renfrew	54.634 Ha.	EK41565	023-414-456
19 Section 85	Renfrew	64.752 Ha.	J108769	009-591-648
20 DL 87 lying to the west of a bdy parallel to the easterly boundary of said lot and extending from a point on the northerly bdy of said lot distant 10 chains from the northeasterly corner of said lot and to the north of northerly bdy of Plan 109RW and that part of DL 87 lying to the east of a bdy parallel to the easterly bdy of said lot, extending from a point on the northerly bdy of said lot distant 10 chains from the northeasterly corner of said lot and to the north of the northerly bdy of Plan 109RW	Renfrew	48.564 Ha.	J108770	009-591-851
21 Block A of District Lot 91	Renfrew	15.176 Ha.	EB5187	009-592-288

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
22	District Lot 93 (except part in Plan 23812)	Renfrew	108.051 Ha.	S112675	008-694-958
23	Block B of District Lot 102	Renfrew	48.159 Ha.	EB5186	009-592-270
24	District Lot 160	Renfrew	12.950 Ha.	J108773	009-593-179
25	District Lot 175	Renfrew	66.370 Ha.	EK41561	023-414-308
26	District Lot 176 shown coloured red on plan deposited under DD 1439111	Renfrew	32.295 Ha.	J108774	009-593-322
27	District Lot 177	Renfrew	32.659 Ha.	EK41562	023-414-391
28	District Lot 529	Renfrew	23.473 Ha.	EB5082	009-593-659
29	District Lot 530	Renfrew	64.752 Ha.	EB5084	009-593-691
30	District Lot 531	Renfrew	53.420 Ha.	EB5085	009-593-713
31	District Lot 564 (except part in Plan VIP63203)	Renfrew	82.084 Ha.	EK41546	009-593-730
32	District Lot 565 (except part in Plan VIP63203)	Renfrew	51.512 Ha.	EK41545	009-593-781
33	District Lot 566 (except part in Plan VIP63204)	Renfrew	17.875 Ha.	EK41548	009-593-811
34	District Lot 567 (except part in Plan VIP63204)	Renfrew	42.871 Ha.	EK41549	009-593-837

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
22	District Lot 93 (except part in Plan 23812)	Renfrew	108.051 Ha.	S112675	008-694-958
23	Block B of District Lot 102	Renfrew	48.159 Ha.	EB5186	009-592-270
24	District Lot 160	Renfrew	12.950 Ha.	J108773	009-593-179
25	District Lot 175	Renfrew	66.370 Ha.	EK41561	023-414-308
26	District Lot 176 shown coloured red on plan deposited under DD 1439111	Renfrew	32.295 Ha.	J108774	009-593-322
27	District Lot 177	Renfrew	32.659 Ha.	EK41562	023-414-391
28	District Lot 529	Renfrew	23.473 Ha.	EB5082	009-593-659
29	District Lot 530	Renfrew	64.752 Ha.	EB5084	009-593-691
30	District Lot 531	Renfrew	53.420 Ha.	EB5085	009-593-713
31	District Lot 564 (except part in Plan VIP63203)	Renfrew	82.084 Ha.	EK41546	009-593-730
32	District Lot 565 (except part in Plan VIP63203)	Renfrew	51.512 Ha.	EK41545	009-593-781
33	District Lot 566 (except part in Plan VIP63204)	Renfrew	17.875 Ha.	EK41548	009-593-811
34	District Lot 567 (except part in Plan VIP63204)	Renfrew	42.871 Ha.	EK41549	009-593-837

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
35	District Lot 568 (except part in Plan VIP63205)	Renfrew	14.317 Ha.	EK41551	009-593-896
36	District Lot 569 (except part in Plan VIP63205)	Renfrew	15.803 Ha.	EK41552	009-593-926
37	District Lot 570 (except part in Plan VIP63205)	Renfrew	14.166 Ha.	EK41553	009-593-942
38	District Lot 571	Renfrew	64.752 Ha.	EB5096	009-593-951
39	District Lot 571A	Renfrew	134.765 Ha.	EB5097	009-593-969
40	District Lot 572	Renfrew	74.870 Ha.	EB5098	009-593-977
41	District Lot 572A	Renfrew	150.953 Ha.	EB5099	009-593-993
42	District Lot 573	Renfrew	72.846 Ha.	EB5100	009-594-019
43	District Lot 573A	Renfrew	117.768 Ha.	EB5101	009-594-043
44	District Lot 574	Renfrew	71.227 Ha.	EB5083	009-593-675
45	District Lot 574A	Renfrew	129.504 Ha.	K6026	009-594-086
46	That part of District Lot 720 lying to the north of the northerly boundary of District Lot 866	Renfrew	76.893 Ha.	J108776	009-594-094
47	District Lot 722	Renfrew	131.932 Ha.	K6027	009-594-108
48	District Lot 724	Renfrew	38.042 Ha.	K6028	009-594-116
49	District Lot 725	Renfrew	46.136 Ha.	K6029	009-594-124

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
50	Parcel A (DD 104752I) of District Lot 745	Renfrew	24.282 Ha.	EB5102	009-594-159
51	District Lot 802	Renfrew	16.134 Ha.	EB5080	009-594-213
52	District Lot 803	Renfrew	59.231 Ha.	EG168114	009-594-264
53	District Lot 804	Renfrew	1.280 Ha.	EB5081	009-594-248
54	Parcel B (DD 52657I) of District Lot 745	Renfrew	16.188 Ha.	EB5103	009-594-183
55	District Lot 920	Renfrew	35.400 Ha.	EK41563	023-414-430
56	District Lot 921	Renfrew	523.000 Ha.	EK41564	023-414-448
57	The westerly 30 chains of District Lot 26	Malahat	48.564 Ha.	N41899	000-491-098
58	District Lot 26 (except the westerly 30 chains thereof)	Malahat	80.940 Ha.	J108778	009-355-812
59	District Lot 27	Malahat	64.752 Ha.	N41900	000-491-110
60	District Lot 28	Malahat	64.752 Ha.	N41901	000-491-250
61	District Lot 29	Malahat	64.752 Ha.	N41902	000-491-128
62	District Lot 30	Malahat	64.752 Ha.	N41903	000-491-136
63	Block 69 (except Parcel A (DD 54019I) thereof)	Malahat	1019.035 Ha.	J108785	009-369-180
64	Lot 2 of District Lot 122 and of Block 1299, Plan 20837	Malahat	165.522 Ha.	R17181	003-521-915

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
65	Lot 3 of Block 1299, Plan 20837	Malahat	257.794 Ha.	J108780	003-521-974
66	That part of District Lot 123 outlined in red on Plan 1554R	Malahat	67.585 Ha.	J108782	009-346-309
67	That part of District Lot 123 lying to the West of a straight boundary joining the corners of said lot marked by posts numbered 1 and 14 respectively (except parts in Plans 20837 and 20838)	Malahat	6.340 Ha.	J108781	009-346-295
68	That part of District Lot 125 outlined in red on Plan 1555R	Malahat	61.110 Ha.	J108783	009-346-236
69	District Lot 126	Malahat	144.883 Ha.	J108784	009-346-210
70	Block 174	Malahat	965.210 Ha.	J108786	009-369-007
71	Block 250 (except part outlined in red on Plan 1553R)	Malahat	84.987 Ha.	J108787	009-368-787
72	Block 609	Malahat	297.455 Ha.	J108788	009-368-477
73	Block 679	Malahat	135.413 Ha.	J108789	009-368-426
74	Block 716	Malahat	891.149 Ha.	J108790	009-368-400
75	Block 780	Malahat	237.154 Ha.	J108791	009-379-363
76	Block 785	Malahat	40.470 Ha.	J108792	009-379-274
77	Block 795	Malahat	44.517 Ha.	J108793	009-379-215

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	CROWN GRANTS	LAND DISTRICT	HECTARES MORE OR LESS	CERTIFICATE OF TITLE	PARCEL IDENTIFIER
78	Block 796	Malahat	96.238 Ha.	J108794	009-374-442
79	Block 811	Malahat	295.836 Ha.	J108795	009-374-400
80	Block 832	Malahat	146.501 Ha.	K6030	009-374-337
81	Block 864	Malahat	169.974 Ha.	J108796	009-374-299
82	Block 871	Malahat	53.623 Ha.	J108797	009-374-256
83	Block 891	Malahat	171.188 Ha.	J108798	009-374-248
84	Block 906	Malahat	20.640 Ha.	J108799	009-374-205
85	Block 908	Malahat	48.564 Ha.	J108800	009-379-169
86	Block 909	Malahat	97.937 Ha.	J108801	009-379-134
87	Block 962	Malahat	76.205 Ha.	J108802	009-378-987
88	Block 977	Malahat	202.350 Ha.	J108803	009-378-952
89	Block 980	Malahat	195.470 Ha.	J108804	009-378-944
90	Block 983	Malahat	10.037 Ha.	J108805	009-378-723
91	Block 984	Malahat	20.235 Ha.	J108806	009-378-693
92	Block 994	Malahat	29.341 Ha.	J108807	009-378-626
93	Block 1027	Malahat	24.403 Ha.	J108808	009-378-588
94	Block 1035	Malahat	239.785 Ha.	J108809	009-378-022
95	Block 1069	Malahat	38.447 Ha.	J108810	009-378-006
96	Block 1114	Malahat	37.435 Ha.	J108811	009-377-972
97	Block 1119	Malahat	54.068 Ha.	S136554	009-377-948
98	Block 1120	Malahat	30.085 Ha.	S136555	009-377-964
99	Block 1130	Malahat	78.512 Ha.	S135745	009-381-856

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
100 Block 1133	Malahat	27.884 Ha.	S135744	009-381-848
101 Block 1143	Malahat	67.666 Ha.	J108814	009-377-905
102 Block 1156	Malahat	26.306 Ha.	S135746	009-381-864
103 Block 1159	Malahat	74.870 Ha.	J108815	009-377-859
104 Block 1172	Malahat	6.475 Ha.	J108816	009-377-794
105 Block 1173	Malahat	36.617 Ha.	J108817	009-377-786
106 Block 1184	Malahat	222.140 Ha.	J108818	009-377-689
107 District Lot 124A	Malahat	45.731 Ha.	J108830	009-346-279
108 District Lot 124B	Malahat	315.666 Ha.	J108831	009-346-261
109 District Lot 124C	Malahat	89.034 Ha.	J108832	009-346-252
110 Lot 2, Block 1298, Plan 20838	Malahat	6.718 Ha.	J108819	003-522-075
Parcel A (DD 34814I) of Section 3 (except that part shown coloured red on plan deposited under DD 48524I and except that part in Plan 3943 and except that part shown outlined in red and marked A and B on Plan 1067 RW)	Otter	43.618 Ha.	J108820	009-496-939

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
112	Section 22 (except the right of way of the City of Victoria Pipeline as shown on plans deposited under DD 424351 and except the right of way of the Canadian Northern Pacific Railway as shown on Plan 97 RW and 1204 OS and except that part in Plan 25239)	Otter	50.191 Ha.	J108821	009-503-455
113	Section 23 (except part in Plan VIP61463)	Otter	9.641 Ha.	EJ56852	009-497-692
114	Section 38 as shown on plan deposited under DD 18138	Otter	64.752 Ha.	EB2524	009-497-731
115	Section 39 (except that part lying 50 feet on each side of the centre line of the right of way shown on Plan 121 RW)	Otter	29.806 Ha.	J108824	009-501-622
116	Section 41 as shown on plan deposited under DD 551121	Otter	79.321 Ha.	EB2525	009-497-757
117	Section 42 (except that part lying 50 feet on each side of the centre line of the right of way shown on Plan 121 RW)	Otter	62.000 Ha.	EB2526	009-497-790

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

	<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
118	Lot 1 of Section 74, Plan 1419	Otter	7.807 Ha.	S50652	007-472-668
119	Lot 2 of Section 74, Plan 1419	Otter	5.880 Ha.	S50653	007-472-684
120	Lot 3 of Section 74, Plan 1419	Otter	4.452 Ha.	S50654	007-472-692
121	Lot 4 of Section 74, Plan 1419	Otter	4.646 Ha.	S50655	007-472-706
122	Lot 5 of Section 74, Plan 1419	Otter	4.496 Ha.	J108825	007-472-722
123	Lot 6 of Section 74, Plan 1419	Otter	4.431 Ha.	S50656	007-472-765
124	Lot 7 of Section 74, Plan 1419	Otter	4.367 Ha.	S50657	007-472-781
125	Lot 8 of Section 74, Plan 1419	Otter	4.302 Ha.	S50658	007-472-790
126	Lot 9 of Section 74, Plan 1419	Otter	4.237 Ha.	S50659	007-472-811
127	Lot 10 of Section 74, Plan 1419	Otter	14.460 Ha.	J108826	007-472-838
128	Lot 11 of Section 74, Plan 1419	Otter	5.099 Ha.	S50660	007-473-125
129	Lot 12 of Section 74, Plan 1419	Otter	4.577 Ha.	S50661	007-473-141
130	Lot 13 of Section 74, Plan 1419	Otter	3.444 Ha.	S50662	007-473-150
131	Lot 14 of Section 74, Plan 1419	Otter	3.626 Ha.	S50663	007-473-168

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
132 Lot 15 of Section 74, Plan 1419	Otter	3.982 Ha.	J108827	007-473-176
133 Lot 16 of Section 74, Plan 1419	Otter	4.015 Ha.	S50664	007-474-415
134 Lot 17 of Section 74, Plan 1419	Otter	3.934 Ha.	S50665	007-474-440
135 Lot 18 of Section 74, Plan 1419	Otter	4.634 Ha.	S50666	007-474-466
136 Lot 19 of Section 74, Plan 1419	Otter	5.261 Ha.	S50667	007-474-482
137 That part of Lot 20, Section 74, Plan 1419 lying to the east of the Canadian Northern Pacific Railway right of way, through said lot, as said right of way is shown on said plan	Otter	16.188 Ha.	J108829	004-151-003
Total Crown Grants		11830.866 Ha.		

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 1

TIMBER LICENCES

	TIMBER LICENCES	LAND DISTRICT	HECTARES	REPLACES SPECIAL TIMBER LICENCES
1	T0002 Block 1	Renfrew	37.000 Ha.	TL 663P (Lot 293)
2	T0002 Block 2	Renfrew	33.000 Ha.	TL 3296P (Lot 260)
3	T0011	Renfrew	48.000 Ha.	TL 664P (Lot 294)
4	T0022 Block 1	Renfrew	53.000 Ha.	TL 3293P (Lot 257)
5	T0022 Block 2	Renfrew	48.000 Ha.	TL 3303P (Lot 267)
6	T0055 Block 1	Renfrew	93.000 Ha.	TL 3306P (Lot 270)
7	T0055 Block 2	Renfrew	107.000 Ha.	TL 3307P (Lot 271)
8	T0055 Block 3	Renfrew	61.000 Ha.	TL 3308P (Lot 272)

Total Timber Licences	480.000 Ha.
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SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 2

CROWN GRANTS

	CROWN GRANTS	LAND DISTRICT	HECTARES MORE OR LESS	CERTIFICATE OF TITLE	PARCEL IDENTIFIER
1	District Lot 347	Range 1, Coast	14.165 Ha.	J108833	009-908-374
Total Crown Grants			14.165 Ha.		

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 2

TIMBER LICENCES

	TIMBER LICENCES	LAND DISTRICT	HECTARES	REPLACES SPECIAL TIMBER LICENCES
1	T0088	Range 1, Coast	202.000 Ha.	TL 2053P
2	T0099	Range 1, Coast	109.000 Ha.	TL 2054P
3	T0111 Block 1	Range 1, Coast	75.000 Ha.	TL 4032P
4	T0111 Block 2	Range 1, Coast	55.000 Ha.	TL 4303P
5	T0111 Block 3	Range 1, Coast	131.000 Ha.	TL 4305P
6	T0111 Block 4	Range 1, Coast	259.000 Ha.	TL 6620P
7	T0111 Block 5	Range 1, Coast	178.000 Ha.	TL 6621P
8	T0111 Block 6	Range 1, Coast	85.000 Ha.	TL 6622P
9	T0111 Block 7	Range 1, Coast	52.000 Ha.	TL 6624P
10	T0188 Block 1	Range 1, Coast	79.000 Ha.	TL 1960P
11	T0188 Block 2	Range 1, Coast	45.000 Ha.	TL 1961P
12	T0188 Block 3	Range 1, Coast	58.000 Ha.	TL1962P
13	T0188 Block 4	Range 1, Coast	61.000 Ha.	TL 2056P
14	T0188 Block 5	Range 1, Coast	154.000 Ha.	TL6262P
15	T0188 Block 6	Range 1, Coast	80.000 Ha.	TL 12073P
16	T0188 Block 7	Range 1, Coast	121.000 Ha.	TL 12074P
17	T0244	Range 1, Coast	63.200 Ha.	TL 12072P

Total Timber Licences	1807.200 Ha.
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SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 3

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
NIL				

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 3

TIMBER LICENCES

	TIMBER LICENCES	LAND DISTRICT	HECTARES	REPLACES SPECIAL TIMBER LICENCES
1	T0003 Block 1	Rupert	88.000 Ha.	TL 8624P
2	T0003 Block 2	Rupert	190.000 Ha.	TL 8625P
3	T0003 Block 3	Rupert	179.000 Ha.	TL 8626P
4	T0003 Block 4	Rupert	167.000 Ha.	TL 8627P
5	T0003 Block 5	Rupert	259.000 Ha.	TL 8628P
6	T0003 Block 6	Rupert	259.000 Ha.	TL 8629P
7	T0003 Block 7	Rupert	259.000 Ha.	TL 8654P
8	T0003 Block 8	Rupert	223.000 Ha.	TL 8940P
9	T0069 Block 1	Rupert	259.000 Ha.	TL 8653P
10	T0069 Block 2	Rupert	259.000 Ha.	TL 8941P
11	T0069 Block 3	Rupert	259.000 Ha.	TL 8942P
12	T0116 Block 1	Rupert	182.000 Ha.	TL 10584P
13	T0116 Block 2	Rupert	207.000 Ha.	TL 10585P
14	T0116 Block 3	Rupert	187.000 Ha.	TL 10586P
15	T0149 Block 1	Rupert	183.000 Ha.	TL 10254P
16	T0149 Block 2	Rupert	210.000 Ha.	TL 12083P

Total Timber Licences	3370.000 Ha.
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SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 4

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
NIL				

SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 4

TIMBER LICENCES

TIMBER LICENCES

LAND DISTRICT

HECTARES

Nil

SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 5

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
1 District Lot 10	Range 4, Coast	27.520 Ha.	TD933	015-493-083
2 District Lot 64	Range 4, Coast	163.094 Ha.	TD934	015-493-105
3 District Lot 171	Range 4, Coast	14.165 Ha.	J16085	015-493-121
Total Crown Grants		204.779 Ha.		

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 5

TIMBER LICENCES

	TIMBER LICENCES	LAND DISTRICT	HECTARES	REPLACES WOOD PULP LEASES
1	T0225	Range 4, Coast	138.000 Ha.	WPL (RC 5), District Lot 24
2	T0225	Range 4, Coast	955.000 Ha.	WPL (RC 3), District Lot 28
3	T0225	Range 4, Coast	42.000 Ha.	WPL (RC 5), District Lot 29
4	T0225	Range 4, Coast	43.000 Ha.	WPL (RC 5), District Lot 30
5	T0236	Range 4, Coast	851.000 Ha.	WPL (RC 3), District Lot 43
6	T0247	Range 4, Coast	154.000 Ha.	WPL (RC 3), District Lot 44
7	T0258	Range 4, Coast	1560.000 Ha.	WPL (RC 3), District Lot 45
8	T0258	Range 4, Coast	53.000 Ha.	WPL (RC 3), District Lot 46
9	T0258	Range 4, Coast	103.000 Ha.	WPL (RC 3), District Lot 47
10	T0269	Range 4, Coast	883.000 Ha.	WPL (RC 3), District Lot 50
11	T0280	Range 4, Coast	596.000 Ha.	WPL (RC 3), District Lot 52
12	T0280	Range 4, Coast	1564.000 Ha.	WPL (RC 3), District Lot 54
13	T0280	Range 4, Coast	150.000 Ha.	WPL (RC 3), District Lot 57
14	T0291	Range 4, Coast	132.000 Ha.	WPL (RC 5), District Lot 26
15	T0291	Range 4, Coast	661.000 Ha.	WPL (RC 3), District Lot 58
16	T0291	Range 4, Coast	532.000 Ha.	WPL (RC 3), District Lot 59
17	T0291	Range 4, Coast	807.000 Ha.	WPL (RC 3), District Lot 60
18	T0302	Range 3, Coast	109.000 Ha.	WPL (RC 6), District Lot 56
19	T0302	Range 3, Coast	1540.000 Ha.	WPL (RC 4), District Lot 57
20	T0302	Range 3, Coast	648.000 Ha.	WPL (RC 4), District Lot 58
21	T0302	Range 3, Coast	217.000 Ha.	WPL (RC 4), District Lot 64
23	T0302	Range 3, Coast	78.000 Ha.	WPL (RC 4), District Lot 65

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 5

TIMBER LICENCES

TIMBER LICENCES		LAND DISTRICT	HECTARES	REPLACES PULP LICENCES, WOOD PULP LEASES AND TIMBER LICENCES
24	T0302	Range 3, Coast	172.000 Ha.	WPL (RC 4), District Lot 70
25	T0313	Range 3, Coast	669.000 Ha.	WPL (RC 4), District Lot 60
26	T0313	Range 3, Coast	523.000 Ha.	WPL (RC 4), District Lot 62
27	T0313	Range 3, Coast	863.000 Ha.	WPL (RC 4), District Lot 63
28	T0313	Range 3, Coast	261.000 Ha.	WPL (RC 4), District Lot 75
29	T0313	Range 3, Coast	239.000 Ha.	WPL (RC 4), District Lot 77
30	T0324	Range 3, Coast	188.000 Ha.	WPL (RC 4), District Lot 61
31	T0324	Range 3, Coast	356.000 Ha.	WPL (RC 4), District Lot 74
32	T0324	Range 3, Coast	378.000 Ha.	WPL (RC 4), District Lot 76
33	T0335	Range 3, Coast	690.000 Ha.	WPL (RC 4), District Lot 66
34	T0335	Range 3, Coast	432.000 Ha.	WPL (RC 4), District Lot 68
35	T0335	Range 3, Coast	209.000 Ha.	WPL (RC 4), District Lot 69
36	T0335	Range 3, Coast	94.000 Ha.	WPL (RC 4), District Lot 72
37	T0346	Range 3, Coast	128.000 Ha.	WPL (RC 4), District Lot 59
38	T0357	Range 3, Coast	681.000 Ha.	WPL (RC 4), District Lot 71
39	T0357	Range 3, Coast	96.000 Ha.	WPL (RC 4), District Lot 73
40	T0368	Range 4, Coast	1156.000 Ha.	WPL (RC 5), District Lot 23
41	T0368	Range 4, Coast	372.000 Ha.	WPL (RC 5), District Lot 25
42	T0368	Range 3, Coast	1318.000 Ha.	WPL (RC 5), District Lot 67
43	T0379	Range 4, Coast	719.000 Ha.	WPL (RC 5), District Lot 27
44	T0390	Range 4, Coast	391.000 Ha.	WPL (RC 5), District Lot 108
45	T0401	Range 4, Coast	4961.000 Ha.	WPL (RC 6), District Lot 128

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

BLOCK 5

TIMBER LICENCES

TIMBER LICENCES	LAND DISTRICT	HECTARES	REPLACES PULP LICENCES, WOOD PULP LEASES AND TIMBER LICENCES
46 T0412	Range 3, Coast	442.000 Ha.	WPL (RC 6), District Lot 129
47 T0412	Range 3, Coast	242.000 Ha.	WPL (RC 6), District Lot 133
48 T0412	Range 3, Coast	468.000 Ha.	WPL (RC 6), District Lot 134
49 T0423	Range 3, Coast	2522.000 Ha.	WPL (RC 6), District Lot 130
50 T0434	Range 3, Coast	512.000 Ha.	WPL (RC 6), District Lot 131
51 T0434	Range 3, Coast	31.000 Ha.	WPL (RC 6), District Lot 132
Total Timber Licences		30929.000 Ha.	

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

**BLOCK 6
Area A**

TIMBER LICENCES

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES</u>	<u>REPLACES SPECIAL TIMBER LICENCE</u>
NIL		40.000 Ha.	TL 1218P (Lot 38)
		79.000 Ha.	TL 1219P (Lot 39)
		153.000 Ha.	TL 1712P (Lot 36)
		61.000 Ha.	TL 1713P (Lot 37)
		59.000 Ha.	TL 1715P (Lot 41)
		65.000 Ha.	TL 1716P (Lot 40)
		139.000 Ha.	TL 1718P (Lot 43)
		25.000 Ha.	TL 1952P (Lot 1321)
		40.000 Ha.	TL 1953P (Lot 1322)
		40.000 Ha.	TL 2385P (Lot 1320)
		7.000 Ha.	TL 2387P (Lot 1323)
		42.000 Ha.	TL 2388P (Lot 1328)
		34.000 Ha.	TL 2389P (Lot 1326)
		126.000 Ha.	TL 2390P (Lot 1331)
		158.000 Ha.	TL 2391P (Lot 1341)
		100.000 Ha.	TL 2393P (Lot 1327)
		259.000 Ha.	TL 2394P (Lot 1340)
		170.000 Ha.	TL 2395P (Lot 1330)
		70.000 Ha.	TL 2396P (Lot 1342)
		27.000 Ha.	TL 2397P (Lot 1318P)
		43.000 Ha.	TL 2610P (Lot 1332)
		es 1737.000 Ha.	

SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 6
Area B

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
NIL				

SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 6
Area B

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
NIL				

**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

**BLOCK 6
Area B**

TIMBER LICENCES

	<u>TIMBER LICENCES</u>	<u>LAND DISTRICT</u>	<u>HECTARES</u>	<u>REPLACES SPECIAL TIMBER LICENCE</u>
1	T0232	Queen Charlotte	23.000 Ha.	TL 6176P
2	T0243	Queen Charlotte	155.000 Ha.	TL 6177P
3	T0265	Queen Charlotte	184.000 Ha.	TL 6183P
4	T0276	Queen Charlotte	22.000 Ha.	TL 6184P
5	T0287	Queen Charlotte	7.000 Ha.	TL 6203P
6	T0298	Queen Charlotte	40.000 Ha.	TL 6212P
7	T0310	Queen Charlotte	87.000 Ha.	TL 6213P
8	T0321	Queen Charlotte	34.000 Ha.	TL 6214P
9	T0332	Queen Charlotte	50.000 Ha.	TL 6215P
10	T0343	Queen Charlotte	140.000 Ha.	TL 6218P

Total Timber Licences	742.000 Ha.
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SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

BLOCK 6
Area C

CROWN GRANTS

<u>CROWN GRANTS</u>	<u>LAND DISTRICT</u>	<u>HECTARES MORE OR LESS</u>	<u>CERTIFICATE OF TITLE</u>	<u>PARCEL IDENTIFIER</u>
NIL				

BLOCK 6
Area C

TIMBER LICENCES

<u>TIMBER LICENCES</u>	<u>LAND DISTRICT</u>	<u>HECTARES</u>	<u>REPLACES SPECIAL TIMBER LICENCE</u>
1 T0254	Queen Charlotte	43.000 Ha.	TL 6178P

Total Timber Licences	43.000 Ha.
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**SCHEDULE A
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25**

SUMMARY OF AREAS FOR BLOCK 1, 2, 3, 4, 5, 6A, 6B

CROWN GRANTS

BLOCK 1	11830.866 Ha.
BLOCK 2	14.165 Ha.
BLOCK 3	0.000 Ha.
BLOCK 4	0.000 Ha.
BLOCK 5	204.779 Ha.
BLOCK 6A	0.000 Ha.
BLOCK 6B	0.000 Ha.
BLOCK 6C	0.000 Ha.
TOTAL	12049.810 Ha.

TIMBER LICENCES

BLOCK 1	480.000 Ha.
BLOCK 2	1807.200 Ha.
BLOCK 3	3370.000 Ha.
BLOCK 4	0.000 Ha.
BLOCK 5	30929.000 Ha.
BLOCK 6A	1737.000 Ha.
BLOCK 6B	742.000 Ha.
BLOCK 6C	43.000 Ha.
TOTAL	39065.200 Ha.

GRAND TOTAL	51115.010 Ha.
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SCHEDULE "B"
NAKA TREE FARM LICENCE
TREE FARM LICENCE 25

Interpretation of Schedule B, TFL 25

1. Schedule "B" Land
- 1.1 For the purposes of the definition of "Schedule 'B' Land" in Paragraph 21.02 of this Licence, "Crown land described in Schedule 'B'" means all Crown land within the boundaries described in Paragraph 2, except for Alienated Crown Land.
2. Boundaries
- 2.1 The boundaries referred to in Paragraph 1 are as follows:
"Metes and bounds legal description"
3. Interpretation
- 3.1 "Alienated Crown Land" means Crown land which is not available for inclusion in Schedule "B" Land and, without restricting the generality of the foregoing, includes Crown land which:
 - (a) is, as of the effective date of this Licence, within the area of:
 - (i) a park or ecological reserve;
 - (ii) a lease, licence of exclusive occupation, or timber licence held by a person other than the Licensee, or
 - (iii) a highway (or road) right of way where the highway (or road) is or is deemed, declared or determined to be a public highway under the *Highway Act* (or a Forest Service road under the *Forest Act*); or
 - (b) becomes vested in the Crown by escheat, reversion, transfer or otherwise during the term of this Licence, except as provided in this Licence.
- 3.2 The map(s) accompanying this Schedule are for convenience only, and if there is any discrepancy between the map(s) and the description of boundaries in Paragraph 2, the description in Paragraph 2 will be deemed to be correct.
- 3.3 All alienated Crown land may not be identified as such on the attached Schedules and maps.

Note: Crown land does not include land owned by an agent of the Crown, nor land vested in the federal Crown.

SCHEDULE "B"
NAKA TREE FARM LICENCE
TREE FARM LICENCE NUMBER 25

All Crown lands not otherwise alienated within the areas outlined in bold black on the accompanying maps except Crown land which was subject to an old temporary tenure (within the meaning of the *Forest Act* assented to March 30, 1972) and held by a person other than the Licensee.

BLOCK 1

Commencing at the most southerly southwest corner of Lot 93, Renfrew Land District being a point on the northerly natural boundary of Juan de Fuca Strait; thence in a general northwesterly direction along the northerly natural boundary of said Juan de Fuca Strait to the most southerly corner of Lot A of said Lot 93, Plan 23812, Victoria Land Title Office; thence northeasterly, northwesterly and southwesterly along the easterly, northerly and westerly boundaries of said Lot A of Lot 93, Plan 23812 to the northerly natural boundary of said Juan de Fuca Strait; thence in a general northwesterly direction along the northerly natural boundary of said Juan de Fuca Strait to the easterly boundary of Lot 114, also being the easterly boundary of Juan de Fuca Marine Trail Park, established by Order In Council No. 0453, approved and ordered April 4, 1996; thence in a general northwesterly direction along the boundaries of said Juan de Fuca Marine Trail Park to the southerly boundary of Lot 571A; thence westerly and northerly along the southerly and westerly boundary of said Lot 571A to the northerly boundary of said Juan de Fuca Marine Trail Park; thence in a general northwesterly direction along the boundaries of said Juan de Fuca Marine Trail Park to the northeast corner of Lot 189 (being a point on the southerly boundary of T0775 Block 1, Lot 252); thence on a bearing of 89 degrees 59 minutes 54 seconds a distance of 805 metres; thence on a bearing of 359 degrees 59 minutes 58 seconds a distance of 1.609 kilometres; thence on a bearing of 269 degrees 59 minutes 54 seconds a distance of 848 metres, more or less, to the southeast corner of Lot 560; thence westerly along the southerly

boundary of said Lot 560 a distance of 163 metres, more or less, to the westerly boundary of the watershed of Sombrio River; thence in a general northerly and easterly direction along the westerly and northerly boundaries of the watersheds of said Sombrio River to a point 1.572 kilometres north and 318 metres east of Lot 562 (said point being on the southerly boundary of T0042 Block 7, Lot 326); thence east 1.695 kilometres (more or less, to the westerly boundary of cancelled Lot 365, former TL 4747); thence south 769 metres; thence east 3.219 kilometres (more or less, following the southerly boundaries of cancelled Lot 365, former TL 4747 and cancelled Lot 364, former TL 4746); thence north 2.012 kilometres; thence east 1.207 kilometres (more or less, to the northeast corner of cancelled Lot 356, former TL 4743; thence south 1.388 kilometres, more or less, to the northwest corner of cancelled Lot 355, former TL 4737^p; thence east 805 metres; thence south 3.219 kilometres (more or less, to the southerly boundary of cancelled Lot 352, former TL 4734^p); thence east 2.414 kilometres (more or less, to the southeast corner of cancelled Lot 353, former TL 4735^p); thence north 155 metres, more or less, to the northerly boundary of the watershed of Loss Creek; thence in a general easterly direction along the northerly boundaries of the watershed of said Loss Creek to the southerly boundary of Lot 237, Ecological Reserve No. 83 "San Juan Ridge", established by Order In Council No. 3879, approved and ordered December 22, 1977; thence in a general northeasterly direction along the southerly boundary of said Lot 237 to the southeast corner thereof; thence due south 47 metres, more or less, to the northerly boundary of the watershed of said Loss Creek; thence in a general easterly direction along the northerly boundaries of the watersheds of Loss Creek and Wye Creek to the westerly boundary of Esquimalt and Nanaimo Railway Company Land Grant in the vicinity of Mile Post 13.5; thence southeasterly along the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant to the westerly boundary of Lot 126 E&N Malahat Land District; thence northerly, easterly, and southerly along the westerly, northerly and easterly boundaries of said Lot 126 E&N to the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant; thence southeasterly along the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant to the northerly boundary of Block 250

E&N; thence easterly along the northerly boundaries of Block 250 E&N and Lot 125 E&N to the southerly boundary of Plan 1555R of Lot 125 E&N; thence in a general southwesterly direction along the southerly boundary of said Plan 1555R of Lot 125 E&N to the northerly boundary of Plan 1553R of Block 250 E&N; thence in a general westerly and southerly direction along the northerly and westerly boundaries of said Plan 1553R of Block 250 E&N to the southerly boundary of said Plan 1555R of Lot 125 E&N; thence in a general southwesterly direction along the southerly boundary of said Plan 1555R of Lot 125 E&N to the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant; thence in a general southeasterly direction along the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant to the most northerly corner of Block B of Lot 106 Renfrew Land District; thence in a general southwesterly, southeasterly and northeasterly direction along the boundaries of said Block B of Lot 106 to the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant; thence in a general southeasterly direction along the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant to the northwesterly boundary of Block 1120 Malahat Land District; thence in a general northeasterly direction along the northwesterly boundary of said Block 1120 to the most westerly boundary of Lot 123, as described by PID 009-346-295 (being most accurately depicted as a north-south dashed line on a plan of Block 1119 E&N, surveyed by McElhanney, McRae, Smith and Nash [BCLS] signed March 10, 1959); thence northerly along the most westerly boundary of said Lot 123 to the southerly boundary of said Block 1119 E&N; thence westerly, northerly and easterly along the southerly, westerly and northerly boundaries of said Block 1119 E&N to the northwest corner of Block 1172 E&N; thence easterly along the northerly boundaries of Block 1172 E&N and Block 1298 E&N to the most easterly corner of Lot 2 of Block 1298 E&N, Plan 20838; thence in a general southwesterly and westerly direction following the boundaries of said Lot 2 of Block 1298 E&N to the easterly boundary of said Block 1172 E&N; thence southerly and westerly along the easterly and southerly boundaries of said Block 1172 E&N to the easterly boundary of Block 1119 E&N; thence southerly along the easterly boundary of said Block 1119 E&N to the northerly boundary

of Lot 123, as described by said PID 009-346-295; thence easterly, southerly and westerly along the northerly, easterly and southerly boundaries of said PID 009-346-295 (this area best depicted in Detail A of Plan 20837, and in Plan 20838) to the westerly boundary of Lot 1 of Block 1299; thence in a general easterly direction following the boundaries of said Lot 1 of Block 1299 to the northeast corner of Block 980; thence southerly along the easterly boundary of said Block 980 to the southeast corner thereof; thence southerly, westerly, northerly, westerly, southerly and westerly along the westerly, northerly, easterly, northerly, westerly and northerly boundaries of Block 70 to the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant; thence southeasterly along the westerly boundary of said Esquimalt and Nanaimo Railway Company Land Grant to a point due east of the most northerly northeast corner of Lot 921; thence west to the most northerly northeast corner of said Lot 921; thence southerly, easterly, southerly, easterly and southerly along the easterly, northerly, easterly, northerly and easterly boundaries of said Lot 921 to the northeast corner of Section 84; thence southerly along the easterly boundary of Section 84 to the northerly boundary of Section 85; thence easterly along the northerly boundary of said Section 85 to the northeast corner thereof; thence southerly along the easterly boundaries of Sections 85 and 87 to the northerly boundary of Plan 109 R/W; thence westerly along the northerly boundary of said Plan 109 R/W to the easterly boundary of Section 83; thence southerly along the easterly boundary of said Section 83 to the southeast corner thereof; thence westerly along the southerly boundaries of Sections 83 and 80 to the southwest corner of said Section 80; thence northerly and easterly along the westerly and northerly boundaries of said Section 80 to the westerly boundary of Parcel A of said Section 80; thence southerly, easterly and northerly along the westerly, southerly and easterly boundaries of said Parcel A of Section 80 to the easterly boundary of Lot 720; thence northerly along the easterly boundary of said Lot 720 to the northerly boundary of Lot 866; thence in a general westerly direction along the northerly boundary of said Lot 866 to the westerly boundary of said Lot 720; thence northerly along the westerly boundary of said Lot 720 to the southeast corner of Lot 91; thence westerly and northerly along the southerly and westerly boundaries of Block A of Lot 91

to the southerly boundary of Block B of Lot 102; thence westerly and northerly along the southerly and westerly boundaries of said Block B of Lot 102 to the northeast corner of Section 78; thence westerly along the northerly boundaries of Sections 78 and 77 to the easterly boundary of Lot 745; thence southerly along the easterly boundary of said Lot 745 to the northerly boundary of Section 76; thence easterly and southerly along the northerly and easterly boundaries of said Section 76 to the northerly boundary of West Coast Road, Highway No. 14; thence in a general westerly direction along the northerly boundary of said West Coast Road, Highway No. 14 to the easterly boundary of Section 75; thence northerly along the easterly boundary of said Section 75 to the southwesterly boundary of Lot 1 of said Section 75, Plan 24134; thence in a general northwesterly direction along the westerly boundaries of said Lot 1 of Section 75, Plan 24134 to the southerly boundary of said Lot 93; thence westerly along the southerly boundary of said Lot 93 to the most southerly southwest corner thereof, being the point of commencement.

Save and excepting thereout all that foreshore and land covered by water and the following described area:

Lot 922, Renfrew Land District.

BLOCK 2

Area A

Commencing at a point on the northerly natural boundary of Heydon Bay Lake, said point being 676 metres south and 2.937 kilometres west of the southwest corner of "Hodayno" Indian Reserve No. 2, Range 1 Coast Land District (being the most easterly southeast corner of cancelled Lot 1394, former TL 7322^p); thence in a general southwesterly direction along the northerly natural boundaries of Heydon Bay Lake and Heydon Lake to a point due east of the northeast corner of Lot 1840; thence due west to the northeast corner of said Lot 1840; thence north 746 metres, more or less, to the westerly boundary of the watershed of said Heydon Lake;

thence in a general northerly direction along the westerly boundaries of the watersheds of Heydon Lake, Heydon Bay Lake and Glendale Lake to a point 4.476 kilometres south and 4.637 kilometres east of the southeast corner of "Keogh" Indian Reserve No. 2 (said point being due east of the southeast corner of T0769 Block 9, Lot 1204); thence west 872 metres (more or less, to the southeast corner of said T0769 Block 9, Lot 1204); thence on a bearing of 01 degree 32 minutes 30 seconds a distance of 787 metres; thence on a bearing of 01 degree 30 minutes 02 seconds a distance of 805 metres; thence on a bearing of 271 degrees 24 minutes 25 seconds a distance of 2.397 kilometres (more or less, to the southwest corner of T0188 Block 4, former TL 2056^p); thence on a bearing of 01 degree 38 minutes 51 seconds a distance of 1.244 kilometres (more or less, to the northwest corner of said T0188 Block 4, former TL 2056^p); thence on a bearing of 02 degrees 37 minutes 25 seconds a distance of 603 metres (more or less, to the northeast corner of T0769 Block 3, Lot 1209); thence on a bearing of 91 degrees 27 minutes 01 second a distance of 130 metres; thence on a bearing of 01 degree 26 minutes 56 seconds a distance of 1.609 kilometres (more or less, to the northeast corner of T0769 Block 1, Lot 359); thence due north 462 metres, more or less, to the easterly boundary of the watershed of Knight Inlet; thence in a general northeasterly direction along the easterly boundary of the watershed of said Knight Inlet to the northerly boundary of the watershed of Glendale Creek; thence in a general easterly direction along the northerly boundary of the watershed of said Glendale Creek to the northerly boundary of the watershed of said Glendale Lake; thence in a general easterly and southerly direction along the northerly and easterly boundaries of the watershed of said Glendale Lake to a point 3.406 kilometres north and 1.076 kilometres west of the most northerly northwest corner of said "Hodayno" Indian Reserve No. 2; thence west 508 metres (more or less, to the southeast corner of said T0188 Block 5, former TL 6262^p); thence on a bearing of 271 degrees 30 minutes 34 seconds a distance of 383 metres (more or less, to the most easterly northeast corner of T0188 Block 6, former TL 12073^p); thence on a bearing of 181 degrees 30 minutes 15 seconds a distance of 1.347 kilometres (more or less, to the most easterly southeast corner of T0244, former TL 12072^p); thence on a bearing of 271 degrees 30 minutes 39 seconds a

distance of 687 metres; thence on a bearing of 181 degrees 30 minutes 26 seconds a distance of 696 metres (more or less, to the most southerly corner of said T0244, former TL 12072^p); thence southerly in a straight line (following the easterly boundaries of cancelled Lot 1393, former TL 7320^p and cancelled Lot 1394, former TL 7322^p) to a point on the northerly natural boundary of said Heydon Bay Lake being the point of commencement.

BLOCK 2

Area B

Commencing at a point on the westerly natural boundary of Cooper Reach of Loughborough Inlet, said point being 1.606 kilometres south and 999 metres east of the southwest corner of Lot 347, Range 1 Coast Land District (also being a point on the southerly boundary of T0111 Block 7, former TL 6624^p); thence on a bearing of 269 degrees 58 minutes 37 seconds a distance of 2.226 kilometres (more or less, to the southwest corner of said T0111 Block 7, former TL 6624^p); thence due west 296 metres, more or less, to the southerly boundary of the watershed of Fraser Bay; thence in a general westerly and northerly direction along the southerly and westerly boundaries of the watershed of said Fraser Bay to the westerly boundary of the watershed of Stafford River; thence in a general northerly, easterly and southerly direction along the westerly, northerly and easterly boundaries of the watersheds of Stafford River and Stafford Lake to the northerly boundary of the watershed of Apple River; thence in a general easterly, southerly and westerly direction along the northerly, easterly and southerly boundaries of the watershed of said Apple River to the easterly boundary of the watershed of Mink Creek; thence in a general southerly, westerly and northerly direction along the easterly, southerly and westerly boundaries of the watershed of said Mink Creek to a point 530 metres south and 5.570 kilometres east of the southwest corner of said Lot 347; thence east 299 metres (more or less, to the easterly boundary of cancelled Lot 396, former TL 3718^p); thence south 500 metres (more or less, to the southeast corner of said cancelled Lot 396, former TL 3718^p); thence west 2.637 kilometres, more or less, to the easterly natural boundary of said Cooper Reach of Loughborough Inlet; thence in a general

northerly direction along the easterly natural boundary of said Cooper Reach to the southeasterly natural boundary of McBride Bay; thence in a general northeasterly, easterly, northerly and westerly direction the along southeasterly, southerly, easterly (the tree farm licence excludes the mud flats that extends midway into Lot 131) and northerly natural boundaries of said McBride Bay to the northeasterly natural boundary of said Fraser Bay; thence in a general northwesterly, westerly and southeasterly direction along the northeasterly, northerly and westerly natural boundaries of said Fraser Bay to the westerly natural boundary of said Cooper Reach; thence in a general southeasterly direction along the westerly natural boundary of said Cooper Reach to the point of commencement.

Save and excepting thereout all that foreshore and land covered by water within the above described areas.

BLOCK 3

Commencing at a point 4.148 kilometres east and 838 metres north of the southwest corner of Lot 223, Rupert Land District, being a point on the southerly boundary of Robson Byte (Michael Bigg) Ecological Reserve established by Bill 53, Park Amendment Act 1995, (also being a point on the easterly boundary of T0074, former TL 11924^p, also being the westerly boundary of cancelled Lot 942, former TL 10253^p); thence south 913 metres, more or less (to the southeast corner of said T0074, former TL 11924^p) being a point on the easterly boundary of the watershed of Tsitika River; thence in a general southerly direction along the easterly boundary of the watershed of said Tsitika River to the southerly boundary of the watershed of Naka Creek; thence in a general easterly direction along the southerly boundary of the watershed of said Naka Creek to a point 3.678 kilometres south and 8.695 kilometres east of the southwest corner of said Lot 223; thence south 674 metres (more or less, to a point due west of the southwest corner of Lot 162, former T0069 Block 1); thence east 2.213 kilometres (more or less, to the southwest corner of said Lot 162, T0069 Block 1); thence on a bearing of 90 degrees 00 minutes 05 seconds a

distance of 805 metres (more or less, to the most westerly northwest corner of Lot 164, T0069 Block 3); thence on a bearing of 180 degrees 00 minutes 06 seconds a distance of 805 metres; thence on a bearing of 89 degrees 51 minutes 17 seconds a distance of 1.616 kilometres (more or less, to the southwest corner of Lot 163, T0069 Block 2); thence on a bearing of 90 degrees 00 minutes 06 seconds a distance of 1.609 kilometres (more or less, to the southeast corner of said Lot 163, T0069 Block 2); thence on a bearing of 00 degrees 00 minutes 06 seconds a distance of 805 metres; thence on a bearing of 270 degrees 00 minutes 06 seconds a distance of 805 metres; thence on a bearing of 00 degrees 00 minutes 06 seconds a distance of 1.609 kilometres; thence on a bearing of 270 degrees 00 minutes 06 seconds a distance of 805 metres (more or less, to the southeast corner of Lot 161, T0003 Block 6); thence on a bearing of 359 degrees 50 minutes 51 seconds a distance of 370 metres, more or less, to the southerly boundary of the watershed of said Naka Creek; thence in a general northeasterly direction along the southerly boundary of the watershed of said Naka Creek to the westerly boundary of the watershed of Palmerston Creek; thence in a general northeasterly direction along the westerly boundary of the watershed of said Palmerston Creek to the easterly boundary of the watershed of Cederstedt Creek; thence in a general northerly direction along the easterly boundary of the watershed of said Cederstedt Creek to the southwesterly boundary of the Western Forest Products/MacMillan Bloedel tree farm licence boundary resolution, agreed to and depicted on Instrument No. 152, addition to Tree Farm Licence 39, dated July 31, 1998; thence in a general northwesterly direction along the southwesterly boundary of said Instrument No. 152 to Tree Farm Licence 39, to the natural boundary of Johnstone Strait on the southerly shore thereof; thence in a general westerly direction along the natural boundary of said Johnstone Strait on the southerly shore thereof to the natural boundary of Schmidt Creek on the left bank thereof, being a point on the easterly boundary of said Robson Byte (Michael Bigg) Ecological Reserve; thence in a general southerly and westerly direction following the boundaries of said Robson Byte (Michael Bigg) Ecological Reserve to the point of commencement.

Save and excepting thereout all that foreshore and land covered by water within the above described area.

BLOCK 4

Removed from Tree Farm Licence 25 by Instrument No. 58,
becoming Tree Farm Licence 6 Block 2,

BLOCK 5

Area A

Commencing at a point on the northerly natural boundary of Return Channel (being a point on the southerly natural boundary of Yeo Island), said point being 288 metres south and 47 metres west of the northwest corner of Lot 1373, "Yeo" Indian Reserve No. 13 Range 3 Coast Land District; thence west 10 metres, (more or less, to second most southerly southeast corner of T0412, Lot 134); thence on a bearing of 269 degrees 59 minutes 57 seconds a distance of 198 metres (more or less, to the most southerly southwest corner of said T0412, Lot 134); thence on a bearing of 359 degrees 59 minutes 53 seconds a distance of 805 metres; thence on a bearing of 270 degrees 06 minutes 12 seconds a distance of 1.206 kilometres; thence on a bearing of 359 degrees 59 minutes 54 seconds a distance of 2.012 kilometres (more or less, to the northwest corner of said T0412, Lot 134); thence on a bearing of 325 degrees 38 minutes 04 seconds a distance of 1.272 kilometres (more or less, to a point on the southerly boundary of former STL4765^p, said point being 1.609 kilometres west of the southeast corner thereof); thence north 1.609 kilometres; thence east 805 metres; thence north 1.609 kilometres; thence east 2.018 kilometres (more or less, to the southeast corner of former STL4761^p); thence north 805 metres; thence east 473 metres; thence north 805 metres; thence west 794 metres; thence north 1.609

kilometres; thence east 805 metres; thence north 1.609 kilometres; thence west 1.200 kilometres, more or less, to the easterly natural boundary of Spiller Channel; thence on a bearing of 248 degrees 00 minutes 44 seconds (being a straight line bearing towards the most southerly corner of T0434, Lot 131) a distance of 3.211 kilometres, more or less, to the westerly natural boundary of said Spiller Channel; thence in a general southerly direction along the westerly natural boundary of said Spiller Channel to the easterly natural boundary of Mosquito Bay; thence in a general northerly and westerly direction along the easterly and northerly natural boundaries of said Mosquito Bay to a point due east of the most southerly southeast corner of Lot 132 (T0434); thence west to the most southerly southeast corner of said Lot 132 (T0434); thence westerly along the southerly boundary of said Lot 132 (T0434) to the southwest corner thereof; thence due west to the westerly boundary of the watershed of said Spiller Channel; thence in a general northerly direction along the westerly boundary of the watershed of said Spiller Channel to the westerly boundary of the watershed of said Mosquito Bay; thence in a general northerly and easterly direction along the westerly and northerly boundaries of the watershed of said Mosquito Bay to the westerly boundary of Lot 131 (T0434); thence northerly and westerly along the westerly and southerly boundaries of said Lot 131 (T0434) to the most northerly southwest corner thereof; thence due west to the easterly natural boundary of Mathieson Channel; thence in a general northerly direction along the easterly natural boundary of said Mathieson Channel to the intersection of the northerly natural boundary of Salmon Bay and the westerly boundary of Lot 130 (T0423); thence northerly along the westerly boundary of said Lot 130 (T0423) to the most westerly northwest corner thereof; thence due east to the westerly boundary of the watershed of said Spiller Channel; thence in a general northerly direction along the westerly boundary of the watershed of said Spiller Channel to the northerly boundary of the watershed of

Cheenis Lake; thence in a general southeasterly direction along the northerly boundary of the watershed said Cheenis Lake to a point being 5.049 kilometres north and 3.004 kilometres east of the northeast corner of "Neekas" Indian Reserve No. 4; thence due east to the westerly natural boundary of said Spiller Channel; thence in a general southerly direction along the westerly natural boundary of said Spiller Channel to a point 4.070 kilometres east and 1.747 kilometres north of the northeast corner of said "Neekas" Indian Reserve No. 4 (said point being due west of the northwest corner of Lot 715, temporary tenure survey); thence east 5.955 kilometres (more or less, to the northwest corner of said Lot 715); thence on a bearing of 90 degrees 11 minutes 22 seconds a distance of 1.339 kilometres; thence on a bearing of 179 degrees 50 minutes 31 seconds a distance of 805 metres, more or less, to the northerly boundary of Lot 128; thence easterly and southerly along the northerly and easterly boundaries of said Lot 128 to the westerly natural boundary of Briggs Inlet; thence in a general southerly direction along the westerly natural boundary of said Briggs Inlet to Coldwell Point; thence westerly in a straight line to Ettershanks Point, Yeo Island, being a point on the northerly natural boundary of said Return Channel; thence in a general westerly direction along the northerly natural boundary of said Return Channel to the point of commencement.

BLOCK 5

Area B

Roderick Island, Pooley Island and Susan Island, Range 3 Coast Land District.

BLOCK 5

Area C

Commencing at a point on westerly natural boundary of Fraser Reach (Princess Royal Channel), said point being 530 metres north and 115 metres west of the northwest corner of Lot 29A, Range 4 Coast Land District (said point being on the northerly boundary of cancelled Lot 29); thence in a general southerly direction along the westerly natural boundaries of Fraser Reach and Graham Reach to the northerly boundary of "Canoona" Indian Reserve No. 2; thence westerly, southerly and easterly along the northerly, westerly and southerly boundaries of said "Canoona" Indian Reserve No. 2 to the westerly natural boundary of said Graham Reach; thence in a general southerly direction along the westerly natural boundaries of said Graham Reach and Tolmie Channel to a point 3.862 kilometres north and 719 metres east of the northwest corner of Lot 35, Range 3 Coast Land District (being a point on the most southerly boundary of T0302, Lot 56); thence due west to the easterly natural boundary of Laredo Inlet; thence in a general northerly direction along the easterly natural boundary of said Laredo Inlet to Tuite Point; thence northwesterly in a straight line to a point on the westerly natural boundary of said Laredo Inlet, said point being due east of the summit of Mount Parry (most accurately defined as the intersection of heights of land depicted on the TRIM Watershed Atlas); thence west to the summit of said Mount Parry, being a point on the westerly boundary of the watershed of Mellis Inlet; thence in a general northerly direction along the westerly boundary of the watershed of said

Mellis Inlet to a point on the easterly boundary of the watershed an of unnamed lake, said point being 10.371 kilometres west and 879 metres north of the northwest corner of Lot 1366, "Thakoush" Indian Reserve No. 11; thence (following a height of land as defined by MELP photogrametry for the exact boundary of PAS Spirit Bear and described as follows) in a general northerly direction along the easterly boundary of the watershed of an unnamed lake to a point being 10.229 kilometres west and 1.437 kilometres north of the northwest corner of said Lot 1366, "Thakoush" Indian Reserve No. 11; thence on a bearing of 26 degrees a distance of 55 metres; thence on a bearing of 68 degrees a distance of 130 metres; thence on a bearing of 100 degrees a distance of 110 metres; thence on a bearing of 72 degrees a distance of 33 metres; thence on a bearing of 104 degrees a distance of 54 metres; thence a bearing of 133 degrees a distance of 134 metres; thence on a bearing of 87 degrees a distance of 104 metres, more or less, to the northerly boundary of the watershed of Nais Creek; thence in a general northeasterly direction along the northerly boundary of the watershed of said Nais Creek to the easterly boundary of the watershed of Cougar Lake; thence in a general northerly direction along the easterly boundary of the watershed of said Cougar Lake to the westerly boundary of the watershed of Anchor Lake; thence in a general northerly direction along the westerly boundary of the watersheds of Anchor Lake and Butedale Lake to a point due west of the point of commencement; thence east to the point of commencement.

BLOCK 5

Area D

Commencing at a point on the easterly natural boundary of Hiekish Narrows, said point being 713 metres south and 2.844 kilometres west of the southwest corner of Lot 55, Range 3 Coast

Land District (said point being the most southerly point on the boundary of cancelled Pulp Lease Lot 66, placement based on precision shifted NAD27 Surveyor General digital file); thence in a general northerly direction along the easterly natural boundaries of Hiekish Narrows, Graham Reach (including Green Inlet, Khutze Inlet, Aaltanhash Inlet, and Klekane Inlet) and Fraser Reach to a point due north of the most westerly extremity of Work Island; thence due north to the westerly boundary of the watershed of Klekane Inlet; thence in a general northwesterly direction along the westerly boundary of the watershed of said Klekane Inlet to a point 3.480 kilometres south and 6.471 kilometres east of the southwest corner of Lot 2534, Range 4 Coast Land District; thence due west to the easterly natural boundary of said Fraser Reach; thence in a general northerly direction along the easterly natural boundaries of Fraser Reach and Ursula Channel to the southerly natural boundary of Goat Harbour; thence in a general northeasterly direction along the southerly natural boundary of said Goat Harbour to a point 3.312 kilometres east and 6.658 kilometres north of the southwest corner of said Lot 2534 (said point being the northeast corner of cancelled STL 6942^p); thence south 1.535 kilometres (more or less, to the northerly boundary of cancelled STL 1881^p); thence east 402 metres (more or less, to the northeast corner of said STL 1881^p); thence due south to the southerly boundary of the watershed of said Goat Harbour; thence in a general easterly direction along the southerly boundaries of the watersheds of Goat Harbour and Triumph Bay to NAD 83 UTM Zone 09 coordinates being Northing 5907319.015000 and Easting 524004.693000 (said point being due south of the southeast corner of cancelled STL 5567^p); thence on a bearing of 43 degrees a distance of 11.669 kilometres (more or less, to the southwest corner of T0258 Block B, Pulp Lease Lot 46); thence on a bearing of 00 degrees 24 minutes 04 seconds a distance of 402 metres, more or less, to the southerly natural boundary of Kiltuish Inlet; thence due north to the northerly natural boundary

of said Kiltuish Inlet; thence in a general westerly direction along the northerly natural boundary of said Kiltuish Inlet to the southerly natural boundary of Gardner Canal; thence in a general northeasterly direction along the southerly natural boundary of said Gardner Canal to NAD 83 UTM Zone 09 coordinates being Northing 5920062.875000 and Easting 534310.760000 (said point being the most northerly northwest corner of T0247 Pulp Lease Lot 44); thence east 402 metres (more or less, to the northeast corner of said T0247, Pulp Lease Lot 44); thence on a bearing of 135 degrees a distance of 2.115 kilometres, more or less, to the northerly boundary of the watershed of said Kiltuish Inlet; thence in a general easterly and southerly direction along the northerly and easterly boundaries of the watershed of said Kiltuish Inlet to the easterly boundary of the watershed of Graham Reach of Princess Royal Channel; thence in a general southerly direction along the easterly boundary of the watershed of said Graham Reach to the northerly boundary of the watershed of Carter Bay; thence in a general westerly and southerly direction along the northerly and westerly boundaries of the watershed of said Carter Bay to a point on a line bearing 45 degrees from the point of commencement; thence southwesterly in a straight line to the point of commencement, being a point on the easterly natural boundary of said Hiekish Narrows.

Also including Lot 53, "Work Island", Range 4 Coast Land District.

BLOCK 5

Area E

Commencing at a point on the easterly natural boundary of Gardner Canal, said point being 623 metres north and 866 metres west of the northeast corner of Lot 2583, "Crab River" Indian Reserve No. 18, Range 4 Coast Land District (being the most westerly northwest corner of

T0269, former Pulp Lease Lot 50); thence east 1.207 kilometres; thence (following the westerly boundary of said T0269, former Pulp Lease Lot 50) north 90 metres, more or less, to the westerly boundary of the watershed of Crab River; thence in a general northerly, easterly and southerly direction along the westerly, northerly and easterly boundaries of the watershed of said Crab River to the westerly boundary of the watershed of Owyacumish Creek; thence in a general southerly direction along the westerly boundary of the watershed of said Owyacumish Creek to the northerly boundary of the watershed of an unnamed creek, said unnamed creek flowing southwesterly into said Gardner Canal at NAD 83 UTM Zone 09 coordinates being Northing 5922362.999000 and Easting 529683.999000; thence in a general southeasterly, southerly and westerly direction along the northerly, easterly and southerly boundaries of the watershed of said unnamed creek to NAD 83 UTM Zone 09 coordinates being Northing 5924227.854000 and Easting 534281.569000 (said point being due north of the most northerly northwest corner of T0247, cancelled Pulp Lease Lot 44); thence due south to the northerly natural boundary of said Gardner Canal; thence in a general westerly and northerly direction along the northerly and easterly natural boundaries of said Gardner Canal to the southeast corner of said Lot 2583, "Crab River" Indian Reserve No. 18; thence northerly and westerly along the easterly and northerly boundaries of said Lot 2583, "Crab River" Indian Reserve No. 18 to the natural boundary of said Gardner Canal on the easterly shore thereof; thence in general northerly direction along the easterly natural boundary of said Gardner Canal to the point of commencement.

Save and excepting thereout all that foreshore and land covered by water within the above described areas.

BLOCK 6

Area A

Commencing at the most easterly southeast corner of Lot 318, Queen Charlotte Land District, being a point on the northerly natural boundary of Gillatt Arm of Cumshewa Inlet; thence in a general easterly direction along the northerly natural boundary of said Gillatt Arm on the northerly shore thereof to a point 2.570 kilometres east and 390 metres south of the most easterly northeast corner of said Lot 318 (said point being the southeast corner of cancelled Lot 44, former TL 1717^p); thence on a bearing of 00 degrees 58 minutes 35 seconds a distance of 1.673 kilometres (more or less, to the southeast corner of T0065, Lot 43); thence on a bearing of 00 degrees 58 minutes 42 seconds a distance of 1.609 kilometres; thence on a bearing of 270 degrees 58 minutes 42 seconds a distance of 1.502 kilometres; thence on a bearing of 00 degrees 39 minutes 33 seconds a distance of 226 metres (more or less, to the northeast corner of T0043 Lot 41); thence on a bearing of 270 degrees 48 minutes 55 seconds a distance of 1.254 kilometres (more or less, to the southwest corner of cancelled STL 5830^p); thence north 2.458 kilometres (more or less, to the northwest corner of said STL 5830^p); thence east 164 metres (more or less, to the southwest corner of cancelled TL 5836^p); thence north 1.637 kilometres (more or less, to the southerly boundary of T0250, Block 4, Lot 854); thence on a bearing of 270 degrees 01 minutes 15 seconds a distance of 383 metres (more or less, to the southeast corner of T0250 Block 3, former TL 853); thence on a bearing of 270 degrees 01 minute 23 seconds a distance of 1.618 kilometres (more or less, to the southeast corner of T0206 Block 13, Lot 852); thence on a bearing of 270 degrees 01 minute 24 seconds a distance of 1.619 kilometres (more or less, to the southwest corner of said T0206 Block 13, Lot 852); thence east 2.190 kilometres (more or less, to a point due north of the northeast corner of T0087, Lot 1322); thence south 879 metres; thence on a bearing of 270 degrees 08 minutes 46 seconds a distance of 806 metres; thence on a bearing of 180 degrees 07 minutes 53 seconds a distance of 1.499 kilometres; thence on a bearing of 178 degrees 29 minutes 03 seconds a distance of 1.757 kilometres (more or less, to the southwest corner of said T0087, Lot 1322); thence on a bearing of 268 degrees 49 minutes 37 seconds a

distance of 808 metres (more or less, to the southwest corner of T0264 Block 1, Lot 1324); thence on a bearing of 268 degrees 49 minutes 36 seconds a distance of 808 metres (more or less, to the northwest corner of T0110, Lot 1323); thence on a bearing of 268 degrees 49 minutes 30 seconds a distance of 1.614 kilometres (more or less, to the northwest corner of T0121, Lot 1328); thence on a bearing of 178 degrees 51 minutes 58 seconds a distance of 201 metres; thence on a bearing of 268 degrees 49 minutes 28 seconds a distance of 1.614 kilometres (more or less, to the northwest corner of T0187, Lot 1330); thence on a bearing of 268 degrees 40 minutes 25 seconds a distance of 1.744 kilometres (more or less, to the northwest corner of T0176, Lot 1340); thence on a bearing of 178 degrees 40 minutes 13 seconds a distance of 1.610 kilometres; thence on a bearing of 88 degrees 36 minutes 47 seconds a distance of 293 metres, more or less, to the westerly boundary of the watershed of Pallant Creek; thence in a general southerly, southeasterly, easterly and northerly direction along the westerly, southwesterly, southerly, and easterly boundaries of the watershed of said Pallant Creek to a point 1.111 kilometres west and 501 metres south of the southwest corner of said Lot 318 (said point being on the southerly boundary of T0021, Lot 36); thence on a bearing of 92 degrees 15 minutes 33 seconds a distance of 1.089 kilometres; thence on a bearing of 91 degrees 08 minutes 16 seconds a distance of 244 metres, more or less, to the westerly natural boundary of said Gillatt Arm; thence in a general northerly and easterly direction along the westerly and northerly natural boundaries of said Gillatt Arm to the most easterly southeast corner of said Lot 318, being the point of commencement.

BLOCK 6

Area B

Commencing at the intersection of the northerly boundary of Lot 2818, Queen Charlotte Land District and the westerly natural boundary of Lagoon Inlet; thence in a general northerly, westerly, northerly and easterly direction along the westerly, southerly, westerly, and northerly natural boundaries of said Lagoon Inlet to a point 3.149 kilometres east and 658 metres north of

the northwest corner of said Lot 2818 (said point being on the southerly boundary of T0358, former TL 4926^p); thence on a bearing of 269 degrees 59 minutes 54 seconds a distance of 807 metres (more or less, to the southwest corner of said T0358, former TL 4926^p); thence on a bearing of 359 degrees 59 minutes 55 seconds a distance of 842 metres, more or less, to the northeasterly boundary of the watershed of said Lagoon Inlet; thence in a general northwesterly and southwesterly direction along the northeasterly and northwesterly boundaries of the watershed of said Lagoon Inlet to the northerly boundary of the watershed of Tasu Sound; thence in a general westerly and southerly direction along the northerly and westerly boundaries of the watershed of said Tasu Sound to Davidson Point, being a point on the northerly natural boundary of the entrance to said Tasu Sound; thence in a general northerly, southeasterly, northwesterly, southwesterly and northwesterly direction along the westerly, northeasterly, southwesterly, northeasterly and southwesterly natural boundaries of said Tasu Sound to the southeasterly boundary of Lot 2991 (Pauline mineral claim); thence southwesterly along the southeasterly boundary of said Lot 2991 to the most easterly corner of Lot 2992 (Berta mineral claim); thence southwesterly, northeasterly and northwesterly along the southeasterly, westerly and southerly boundaries of said Lot 2992 to the southeasterly boundary of Lot 604 (Tasso mineral claim); thence northeasterly, northwesterly, southwesterly and southeasterly along the southeasterly, northeasterly, northwesterly and southwesterly boundaries of said Lot 604 to the northwesterly boundary of Lot 615 (Warwick mineral claim); thence southwesterly, and southeasterly along the northwesterly and southwesterly boundaries of said Lot 615 to the most easterly corner of Lot 2994 (Rose mineral claim); thence southwesterly and northwesterly along the southeasterly and southwesterly boundaries of said Lot 2994 to the most southerly corner of Lot 2995 (Della mineral claim); thence northwesterly along the southwesterly boundary of said Lot 2995 to the

most southerly corner of Lot 2999 (Blujay mineral claim); thence in a general northerly, northeasterly, and northerly direction along the westerly, northerly and westerly boundaries of said Lot 2999 to the westerly boundary of Lot 2998 (Blubird mineral claim); thence northerly, easterly and northerly along the westerly, northerly and westerly boundaries of said Lot 2998 to a point 1.043 kilometres west and 02 metres south of the northwest corner of Lot 47; thence north 83 metres, more or less, to the southeasterly natural boundary of said Tasu Sound; thence in a general southwesterly direction along the southeasterly natural boundary of said Tasu Sound to Tasu Head, being a point on the northerly boundary of South Moresby National Park Reserve, defined by Order in Council No. 586, approved and ordered April 20, 1989; thence in a general southeasterly, easterly, and northeasterly direction following the northerly boundary of said South Moresby National Park Reserve to a section of the southeasterly boundary of the watershed of Crescent Inlet, most accurately depicted on a Posting Plan filed as 27-Tube-1452 at the Office of the Surveyor General, Crown Land Registry Services, Ministry of Environment, Lands and Parks; thence (not following the boundary of said South Moresby National Park Reserve) in a general northerly direction along the southeasterly boundary of the watershed of said Crescent Inlet to a point 1.762 kilometres west and 184 metres north of the northwest corner of Lot 441 (being a point on the southerly boundary of T0920 Block 2, Lot 663 and again being a point on the northerly boundary of said South Moresby National Park Reserve); thence in a general northeasterly and easterly direction following the northerly boundary of said South Moresby National Park Reserve to a point on Tangil Penninsula, said point being 8.303 kilometres north and 10.375 kilometres east of the northwest corner of said Lot 441; thence (not following the northerly boundary of said South Moresby National Park Reserve) on a bearing of 47 degrees 05 minutes 53 seconds a distance of 1.785 kilometres, more or less, (heading in a

straight line towards Porter Head (as defined by the Office of the Surveyor General, Crown Land Registry Services, Ministry of Environment, Lands and Parks depiction of South Moresby National Park Reserve Boundary on CDMS 1:20,000 map base 103B082) to a point on the southerly natural boundary of Dana Inlet; thence in a general westerly direction along the natural boundary of said Dana Inlet to the southwesterly natural boundary of Dana Passage; thence in a general northwesterly direction along the southwesterly natural boundary of said Dana Passage to the westerly natural boundary of Selwyn Inlet; thence in a general northerly direction along the westerly natural boundary of said Selwyn Inlet to the southerly natural boundary of Sewell Inlet; thence in a general southwesterly, and northeasterly direction along the southeasterly and northwesterly natural boundaries of said Sewell Inlet to the westerly natural boundary of said Lagoon Inlet; thence in a general northerly and northwesterly direction along the westerly and southwesterly natural boundaries of said Lagoon Inlet to the point of commencement.

BLOCK 6

Area C

Talunkwan Island, Queen Charlotte Land District.

Save and excepting thereout all that foreshore and land covered by water within the above described areas.

SCHEDULE C

SCHEDULE C - FELLING, BUCKING AND UTILIZATION SPECIFICATIONS

1.00 DEFINITIONS

- 1.01** In this Schedule, as exemplified by the diagrams attached to this Schedule,
- (a) "butt end" means the log end that was previously attached to the stump;
 - (b) "butt log" means the log cut from the portion of the tree that was previously attached to the stump;
 - (c) "diameter at stump height" means
 - (i) in the case of standing timber, the diameter of the tree (outside bark) measured at the point of the maximum stump height shown in the table attached to this Schedule, and
 - (ii) in the case of a butt log, the diameter (outside bark) at the butt end of the log; and
 - (d) "slab" means one of 2 or more parts of a log produced as a result of the log fracturing along its length;
 - (e) "stump height" means the height of the stump measured on the side of the stump adjacent to the highest ground;
 - (f) "top diameter" means the diameter (inside bark) at the narrowest end of the log;
 - (g) "top log" means any log that is not a butt log.

2.00 FELLING SPECIFICATIONS

- 2.01** Subject to paragraph 4.06 of the Licence, standing timber of the species detailed in Table 1 of this Schedule must be felled in accordance with the following specifications:
- (a) unless otherwise authorized in writing by the District Manager, timber must be felled to a stump height that does not exceed the maximum stump height shown for that species in Table 1.

SCHEDULE C

3.00 BUCKING SPECIFICATIONS

- 3.01 Subject to paragraph 4.06 of this Licence, felled or dead-and-down timber of the species referred to in paragraph 2.01 must be bucked so as to maximize the volume of logs and slabs which
- (a) meet the utilization specifications referred to in Part 4.00 of this Schedule, and
 - (b) are of the species and grades specified as obligatory utilization under Part 5.00 of this Schedule.

4.00 UTILIZATION SPECIFICATIONS

- 4.01 Subject to paragraph 4.02 of this Schedule and paragraph 4.06 of the Licence, the following utilization specifications apply to timber authorized for harvest under this Licence:
- (a) all logs meeting
 - (i) the minimum log length,
 - (ii) the minimum top diameter, and
 - (b) all slabs meeting
 - (i) the minimum slab length, and
 - (ii) the minimum slab thickness
- shown for that species in Table 2 attached to this Schedule must be utilized.
- 4.02 The Licensee need not utilize timber of the species and grades specified in Part 6.00 of this Schedule as optional utilization.

5.00 OBLIGATORY UTILIZATION

- 5.01 Timber of the following species and grades are specified as obligatory utilization:
- (a) all coniferous species that are Grade X or better.

6.00 OPTIONAL UTILIZATION

- 6.01 Timber of the following species and grades are specified as optional utilization:
- (a) firmwood rejects;
 - (b) all deciduous species of all grades; and
 - (c) all coniferous species that are Grade Y.

SCHEDULE C

Diagram 1. Felling Specifications

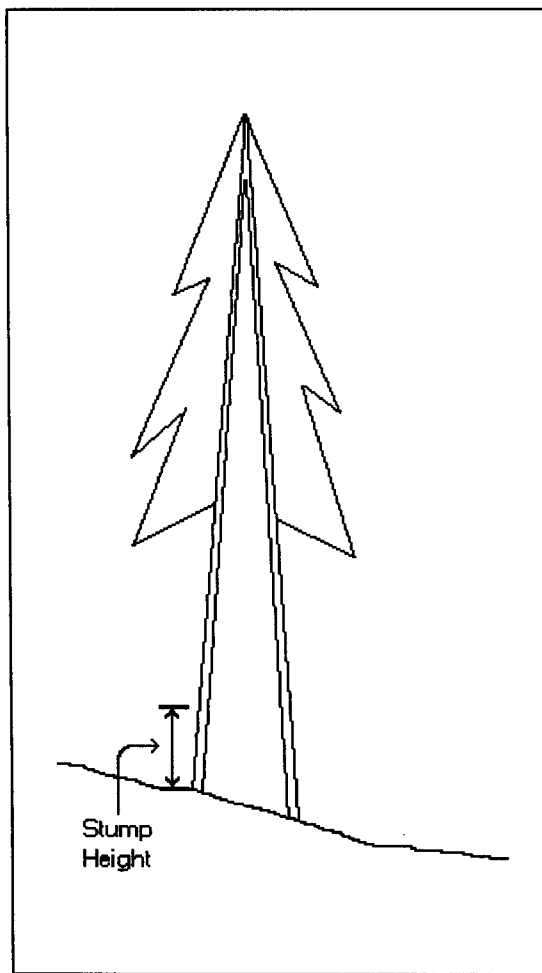


Table 1

Species	Maximum Stump Height
All species	30 cm

SCHEDULE C

Diagram 2. Utilization Specifications

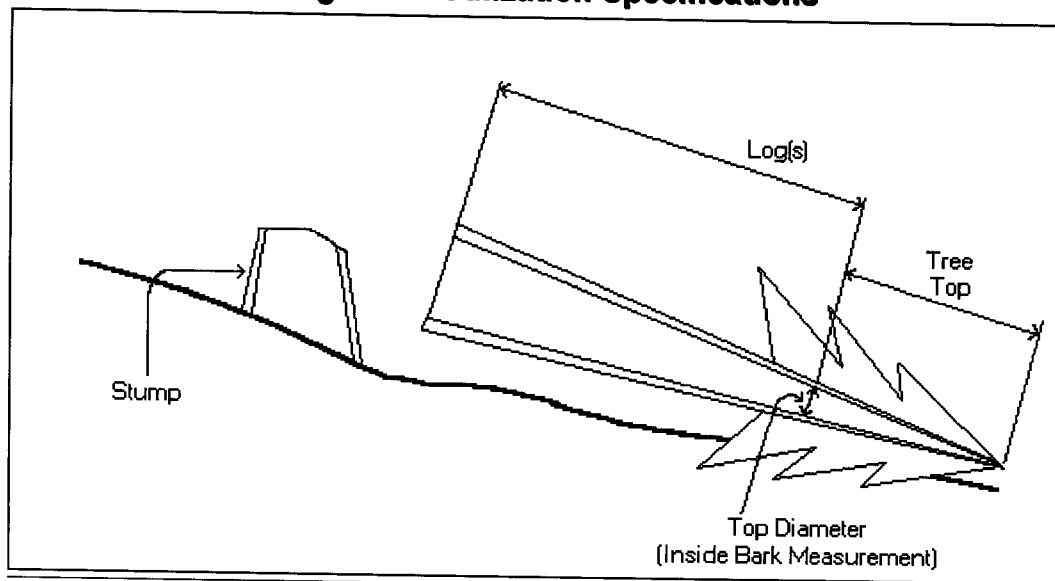
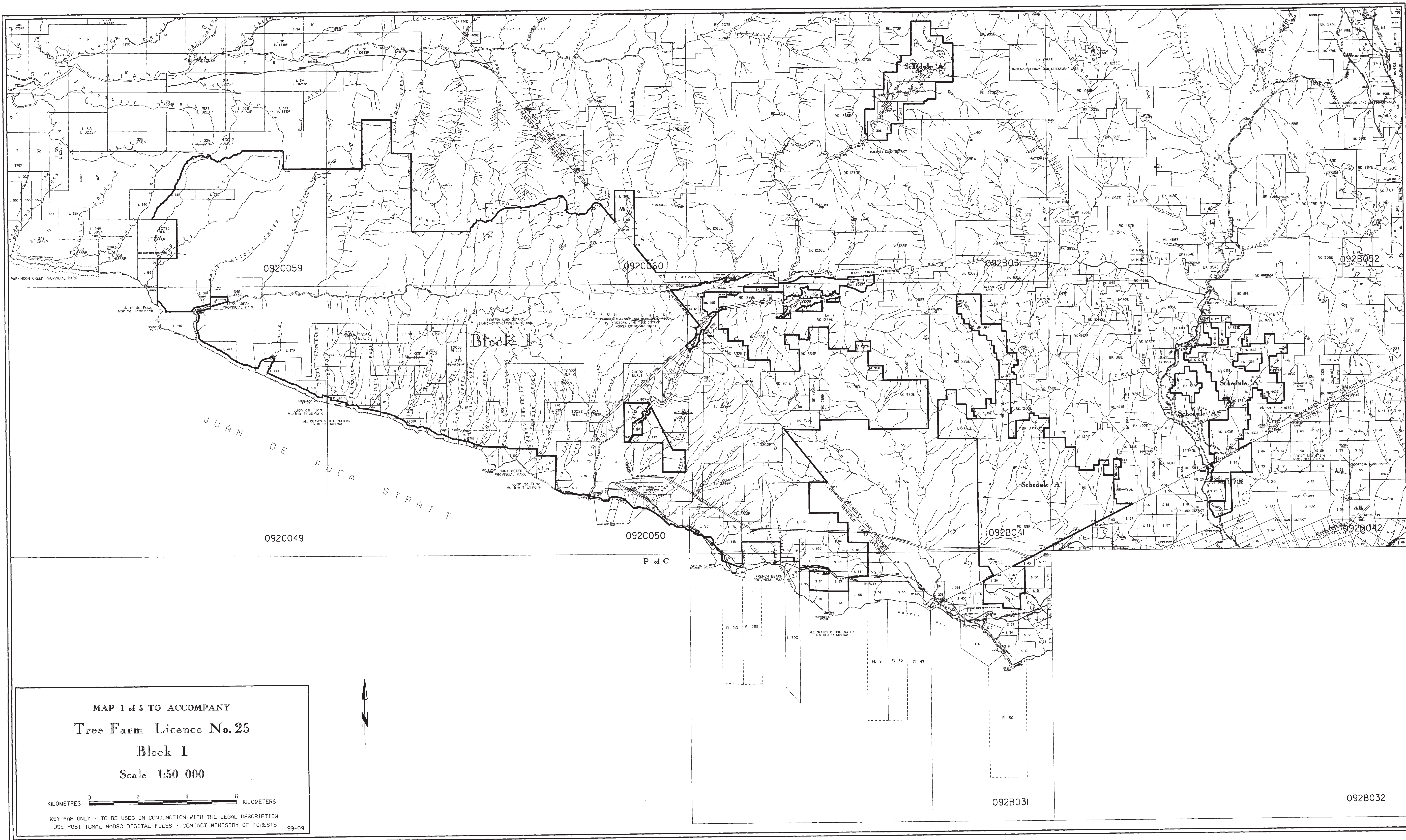
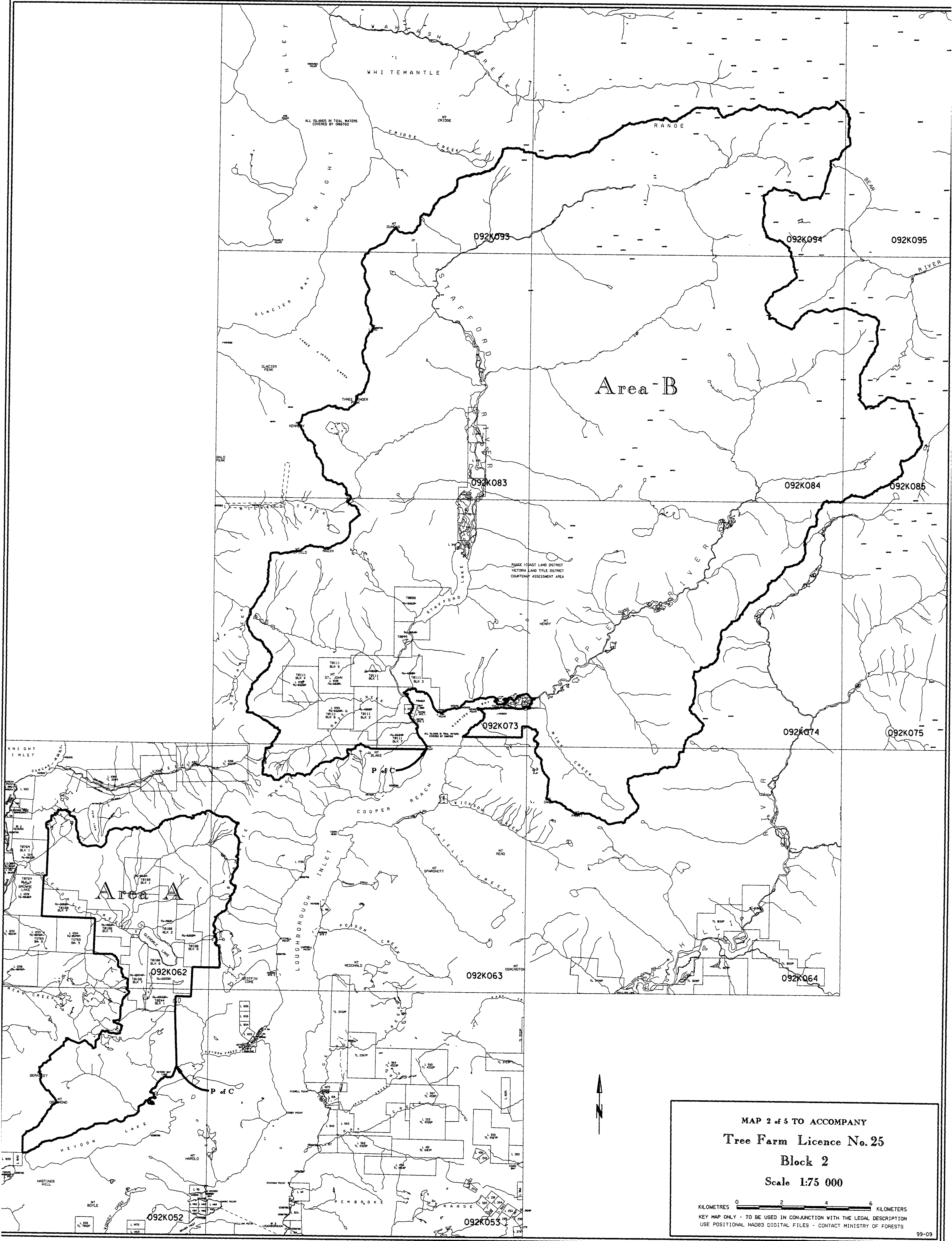


Table 2

Species	Minimum Log or Slab Length	Minimum Top Diameter or Slab Thickness
Mature - All species	3 meters	15 cm
Immature - All species	3 meters	10 cm

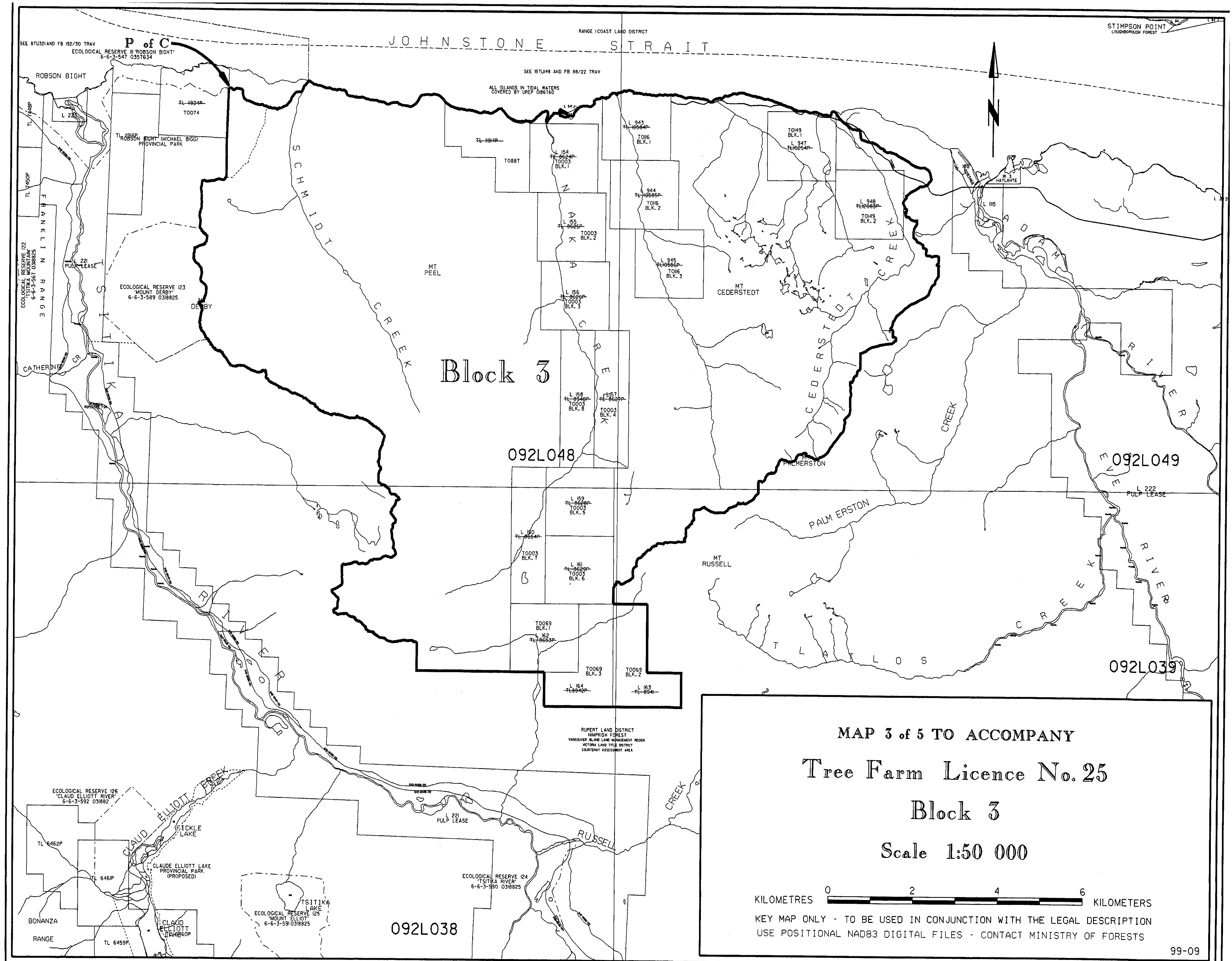
Note: For the purpose of Schedule C , “mature” means timber which has an average age of 121 years or older and “immature” means timber which has an average age of less than 121 years.

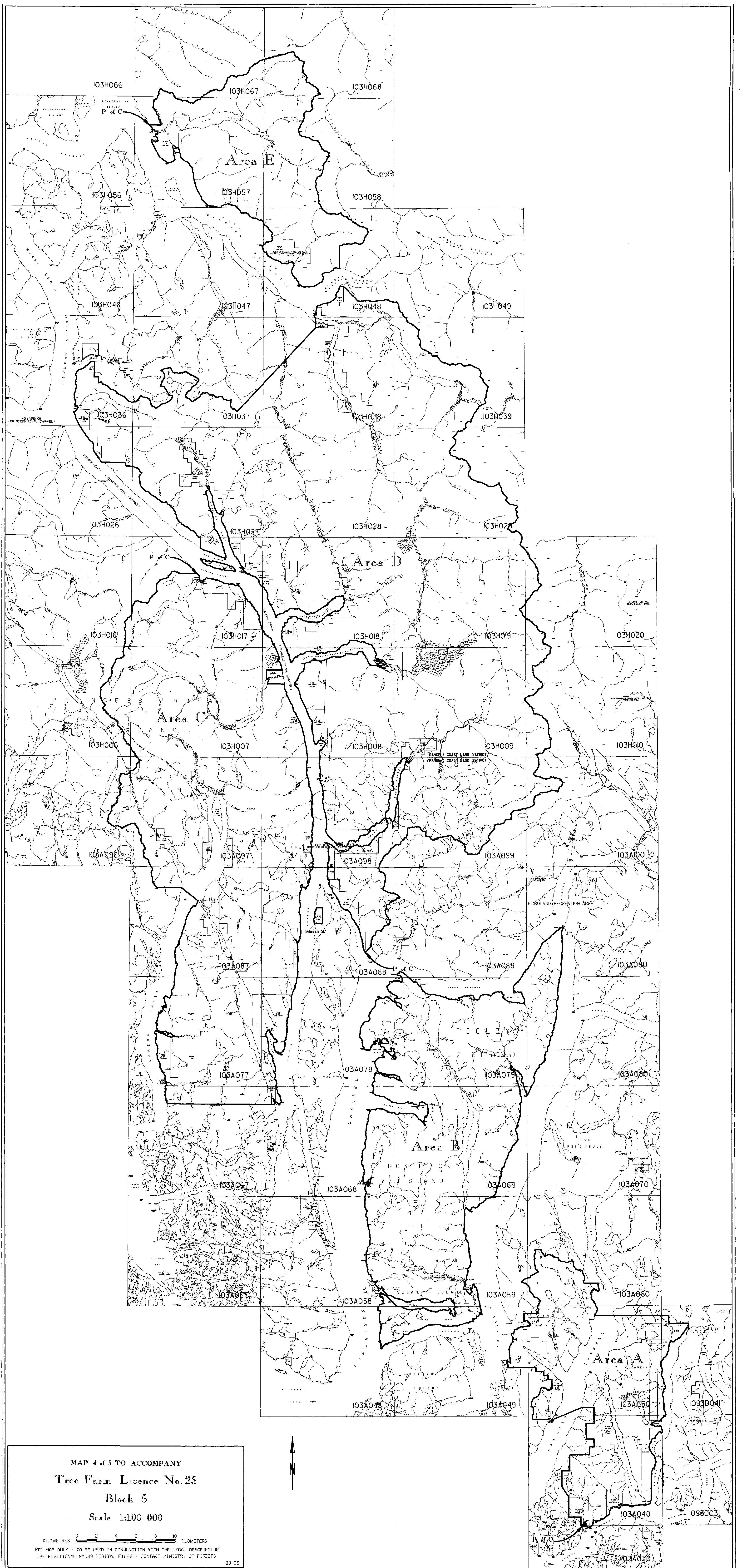


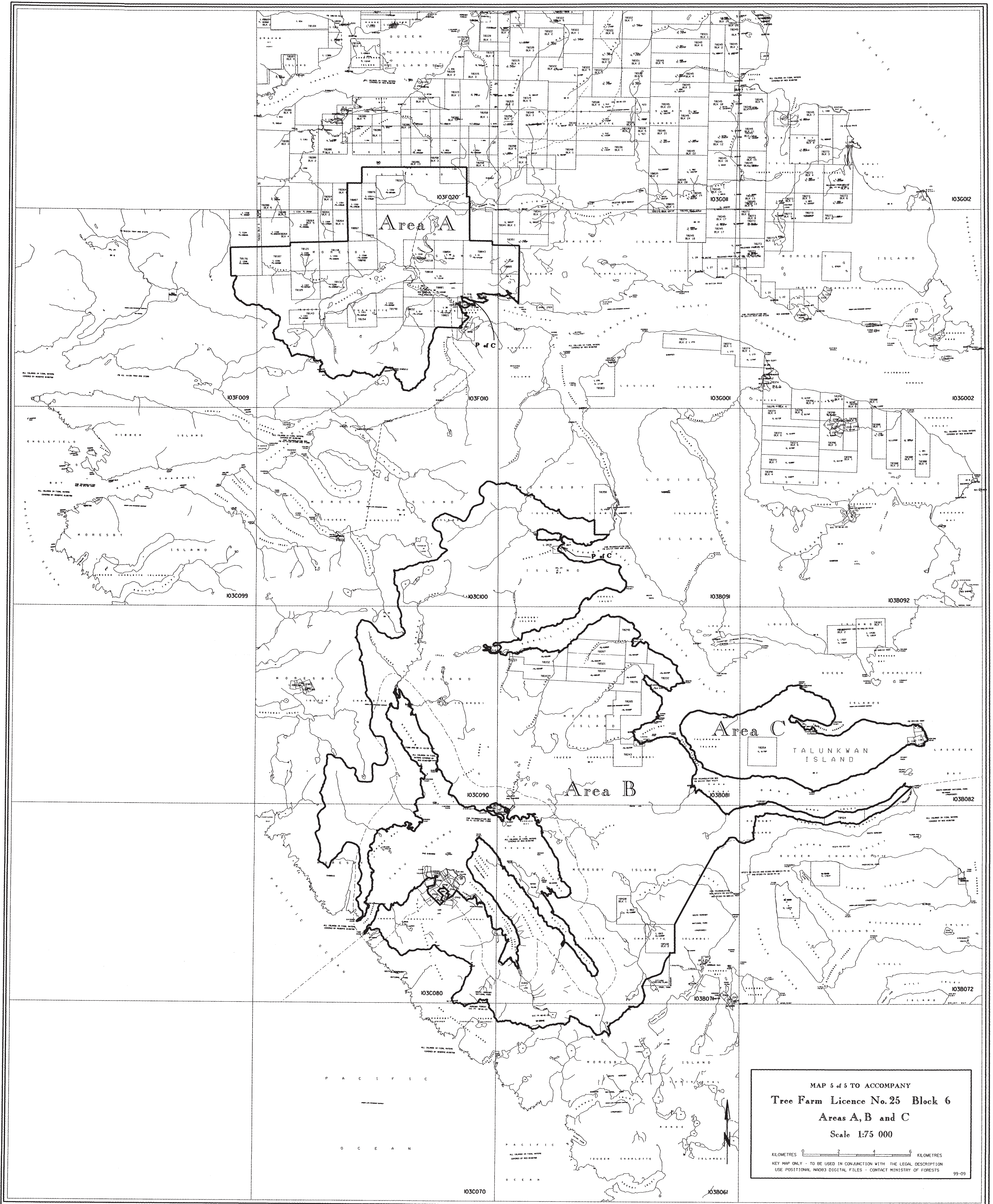


MAP 2 of 5 TO ACCOMPANY
Tree Farm Licence No. 25
Block 2
Scale 1:75 000

KILOMETRES 0 2 4 6 KILOMETRES
KEY MAP ONLY - TO BE USED IN CONJUNCTION WITH THE LEGAL DESCRIPTION
USE POSITIONAL NAD83 DIGITAL FILES - CONTACT MINISTRY OF FORESTS







MAP 5 of 5 TO ACCOMPANY
Tree Farm Licence No. 25 Block 6
Areas A, B and C
Scale 1:75 000

KILOMETRES 0 2 4 6
KEY MAP ONLY - TO BE USED IN CONJUNCTION WITH THE LEGAL DESCRIPTION
USE POSITIONAL NAD83 DIGITAL FILES - CONTACT MINISTRY OF FORESTS